

**BEFORE THE  
FEDERAL MARITIME COMMISSION**

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DOCKET NO. 25-13

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AMERICAN IRON & METAL COMPANY INC.

COMPLAINANT,

v.

PRIVA LOGISTICS INC.

RESPONDENT.

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**COMPLAINANT’S REPLY BRIEF**

**AND**

**OPPOSITION BRIEF TO RESPONDENT’S INITIAL BRIEF**

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**AMERICAN IRON & METAL COMPANY INC.’s REPLY BRIEF**  
**IN RESPONSE TO PRIVA LOGISTIC INC.’S BRIEF IN OPPOSITION<sup>1</sup>**

**I. INTRODUCTION**

In its brief in opposition, Priva Logistics, Inc. makes a number of dramatic statements such as claiming this is a matter of right versus wrong. These grand pronouncements seek to avoid a simple undeniable conclusion; Priva improperly held containers to force payment over unrelated shipments in violation of § 41102(c).<sup>2</sup> Rather than directly address its conduct, Priva instead focuses its arguments on disputes related to the Malaysia Shipments<sup>3</sup>, effectively conceding that it does not have a defense to its actions regarding its unlawful withholding of the Italy Shipment and India Shipments.

Instead of simply conceding the issue, as it should, Priva doubles down claiming it was justified to withhold release of the Italy and India Shipments due to disputes between the parties related to the Malaysia Shipments. This is directly contrary to well-established authority holding that a person may not hold cargo over disputes related to earlier shipments.

Ultimately, the Reply shows: (1) Priva’s holding practices were normal, customary, and continuous under § 545.4(b), as confirmed by its own admissions and discovery; (2) the conduct plainly relates to receiving, handling, storing, or delivering property under § 545.4(c); (3) the practice is unjust and unreasonable because disputes over earlier shipments cannot justify withholding cargo; and (4) Priva’s refusal to release the Italy Shipment proximately caused AIM’s demurrage and detention damages, which AIM paid to secure release.

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<sup>1</sup> American Iron & Metal Company Inc. will be referred to as “AIM.”

<sup>2</sup> In the Scheduling Order, AIM was instructed to amend its complaint if it intended to pursue other legal theories beyond its § 41102(c) claim. As indicated in AIM’s initial brief and given the modest size of the claims at issue, AIM has elected to only pursue its § 41102(c) claim.

<sup>3</sup> AIM will address those arguments in its Opposition to Priva’s Initial Brief.

For these reasons and those set forth in its initial brief, the Presiding Officer should grant AIM's requested relief, award reparations for AIM's actual injuries, and deny Priva's opposition and any request to legitimize its unlawful withholding practice.

## **II. ARGUMENT**

Priva's Opposition fails to rebut AIM's evidence, which establishes that Priva violated the Shipping Act. First, Priva's practices were "normal, customary, and continuous" under § 545.4(b), as evidenced by Priva's own admissions, its corporate testimony, and its repeated use of administrative charges and shipment holds—including on the Italy and India Shipments—until release was compelled after suit was filed. Second, Priva's conduct "relates to or is connected with receiving, handling, storing, or delivering property" under § 545.4(c), and Priva's reliance on 46 C.F.R. § 515.31(f) is misplaced because the alleged misdeclaration issue pertained to a Malaysia Shipment bill of lading (Booking No. NAM6677014), not the Italy or India Shipments. Priva is an NVOCC, the dispute arises from multiple bookings moving containers from California to foreign ports, and the Italy, India, and Malaysia Shipments are connected to Priva's delivery of property; no documentary issue was identified for the Italy or India Shipments under § 515.31(f).

Third, Priva engaged in an unjust and unreasonable practice under § 41102(c) and § 545.4(d) because disputes over earlier unrelated shipments cannot justify refusing to release cargo, and Priva's added demands—unrelated to the Italy and India Shipments—underscore the unreasonableness of its withholding. Priva refused to release the Italy and India Shipments unless AIM acceded to charges stemming from the Malaysia Shipments, including the \$70,000 Misdeclaration Invoice, daily administrative fees, and additional administrative sums, despite AIM's willingness to pay the misdeclaration amount under protest.

Finally, AIM established proximate causation and actual injury: Priva instructed CMA not to release the Italy Shipment arriving June 14, 2025, and did not permit release until July 22, 2025, causing demurrage and detention that AIM was required to pay to secure the release, as corroborated by contemporaneous communications and Mr. Hudson's declaration. Priva acknowledged AIM's resulting commercial harm, including issuance of a credit note to its customer.

**A. The Evidence Establishes that Priva's Conduct Occurred on a Normal, Customary, and Continuous Basis.**

Priva's opposition contends that its conduct was not normal, customary, and continuous, because it engaged in unlawful conduct a handful of times. Priva's position on this element is contrary to its broader briefing, the testimony of its corporate representative, and the facts of this case. As its briefing makes clear, Priva maintains its conduct was permissible even though there is a wealth of authority specifically stating that holding cargo for disputes related to earlier shipments is improper.<sup>4</sup>

Prior to AIM filing this matter, Priva used the Italy Shipment to seek payment of the charges related to the Malaysia Shipment including its unfounded and undisclosed administrative charges. During litigation, Priva continued to assert those claims including entitlement to administrative charges. These charges were neither derived from actual financial records nor tied to documented expenses but instead were based solely on Priva's unilateral and speculative determination of what it deemed reasonable. *See* CX 347, Dutta Dep. 99:4-25, 155:12-156:5; 169:11-13. Indeed, Priva's briefing demonstrates its ever-increasing demands. *See* RPFF Nos. 119-120<sup>5</sup> and responses thereto; CX 344, Priva Supplemental Disclosures ("At this time, Priva

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<sup>4</sup> See AIM's Opening Brief, p. 19-21 and cases cited therein.

<sup>5</sup> For consistency and convenience of the Presiding Officer, AIM will cite to AIM's Proposed Findings of Fact as "CPFF" and Priva's Proposed Findings of Fact as "RPFF" similar to Priva.

provides the accompanying documents, Bates Stamped PRIVA\_00001-00003, as support for the misdeclaration fees and administrative costs and expenses” then totaling \$152,500, and now in excess of \$235,000).

Further, Priva’s citation to the testimony of Mark Hudson to establish the absence of Priva’s normal, customary and continued practice is misplaced. Hudson correctly testified that he was not aware of other situations in which Priva held containers resulting in storage fees being incurred. CX 441, Hudson Dep. 108:7-11. However, both he and Priva identified other shipments that Priva improperly held. *See* CX 528, Hudson Declaration, ¶ 22. (CX 347, Dutta Dep. 45:13-24, 46:3-22, 104:14-105:1, 106:13-107:18, 108:24-109:22. The fact that Priva’s improper hold did not result in the accrual of demurrage or detention charges does not change the fact that Priva maintains a normal and customary policy and practice of holding shipments to force payment. Indeed, Priva only released the Italy and India Shipments upon advice of its counsel after it forced AIM to file suit. CPFF No. 61. It then sought to add its time participating in litigation to the administrative charges fabricated. CPFF No. 60 (confirming “110 percent” that its time spent in litigation are part of its administrative charges); *See also* CPFF No. 59.

Finally, Priva’s request that the Presiding Officer disregard evidence concerning other shipments that demonstrate Priva’s policy and practice of holding cargo is unfounded. AIM does not assert claims arising from those shipments because it suffered no damages in connection with them.<sup>6</sup> Nevertheless, the evidence is plainly relevant to establish Priva’s policy and practice of holding cargo and should not be excluded on the ground that Plaintiff is not seeking damages for those particular shipments. Every party has a right to present its case by documentary evidence, and the governing regulations contain a broad admissibility standard. 46 C.F.R. §§ 502.202,

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<sup>6</sup> See CPFF Nos. 49-50.

502.204. Accordingly, the evidence presented must be considered in the context of this case. Priva cites to no rule or authority that provides that AIM must plead every piece of evidence relevant to this matter or developed through discovery.

For these reasons and those set forth in AIM's principal brief, Priva's conduct occurred on a normal, customary, and continuous basis and thus satisfies § 545.4(b) and AIM respectfully submits that it satisfied this element.

**B. Priva's Conduct and Practice Relates to or is Connected with Receiving, Handling, Storing, or Delivering Property in Satisfaction of §545.4(c).**

Surprisingly, Priva seems to contest whether its conduct relates to or is connected with receiving, handling, storing, or delivering property arguing that "AIM again skews the facts to suit its purposes." *See* Priva's Br. p. 74. Priva's position concedes the obvious, its actions in relation to the Italy and India Shipments are based on the parties' dispute related to the Malaysia Shipments. It then tries to justify its unlawful acts as an attempt to comply with 46 C.F.R. § 515.31(f). Priva's position strains logic and only highlights its unreasonable approach to this dispute and the dispute involving the Malaysia Shipments.

As an initial matter, Priva has already either stipulated or admitted to the following facts: it is an NVOCC and this matter arises from multiple bookings involving container transportation from California to various foreign ports. *See, e.g.,* Stipulated Facts 1-4, Priva's response to CPFF Nos. 11, 40. Considering these stipulations, admissions and the general nature of this dispute, it is beyond argument that the Malaysia, Italy and India Shipments are all related or connected to Priva's role as an NVOCC and the delivery of property. There is little benefit to this Commission or the litigants to argue over nonissues such as this one.

Further, Priva's reliance on 46 C.F.R. § 515.31(f) is misplaced. The regulation provides, in pertinent part, that an ocean transportation intermediary ("OTI") shall decline to participate in any

matter where the OTI has reason to believe that its principal or shipper made an error or misrepresentation in a bill of lading, and “shall decline to participate in any transaction *involving such document* until the matter is properly and lawfully resolved.” *Id.* Here, Priva has not identified any issue with any of the documents related to the Italy or India Shipments, because there was none. The entirety of its position arises from the bill of lading for Booking No. NAM6677014, which pertains to one of the Malaysia Shipments. The Italy and India Shipments did not involve that bill of lading and Priva’s reliance on § 515.31(f) lacks merit as a result.

Accordingly, AIM respectfully submits that it satisfied the requirements of § 545.4(c).

**C. Priva’s Insistence that the Parties’ Dispute Related to the Malaysia Shipments Justifies Its Holding of the Italy/India Shipments Further Establishes Priva’s Unjust or Unreasonable Conduct and Practice in Violation of the Shipping Act.**

Rather than recognizing its actions were unreasonable and in violation of § 41102(c), Priva claims that the totality of the circumstances must be considered as it maintains that it can refuse to release cargo based on disputes over earlier unrelated shipments. Despite Priva’s claims that this is a bellwether case, the circumstances in this matter are not that unique aside from Priva’s continually increasing demands.

The parties have a dispute over an earlier, unrelated shipment (the Malaysia Shipments). Priva seeks to collect a \$70,000 misdeclaration invoice along with a \$35 per day administrative charge totaling \$235,900 and another \$152,000 in continual administrative charges including time spent litigating this matter. See CX 344, Priva Supplemental Disclosures; CPFF Nos. 57-60. Because AIM did not pay these charges, Priva refused to release the Italy and India Shipments as its briefing concedes. Again, “*disputes over earlier unrelated shipments cannot be used by either a carrier or a shipper as justification for refusing to release the cargo or to pay lawful freight money.*” *Bernard*

*& Weldcraft Welding Equip. v. Supertrans Int'l, Inc.*, 2003 WL 136313, n. 14 (2003) (emphasis added). Yet, this is exactly what Priva is arguing.

Priva also suggests that the parties must have a genuine dispute for Priva's holding of the containers to be considered improper. Legally, Priva cites to no authority to support its position. Factually, Priva coyly fails to mention the dispute regarding its demand that AIM sign a security deposit agreement, pay a \$35 per day administrative container charge and administrative charges, all of which have no basis in fact. CPFF No. 36, 57, 58-60.<sup>7</sup> Indeed, AIM offered to pay the Misdeclaration Invoice under protest, but Priva refused. CX 199 ("AIM—through its Canadian counsel—advised on June 12, 2025, that it had transferred the full disputed amount (\$70,000) into counsel's trust account, ready for release to Priva. The payment was offered under protest, solely to ensure that the Italy-bound containers would not be delayed. Rather than accept the payment and release the containers, Priva refused, escalated its demands, and declined to confirm it would release the SWB even upon receipt of full payment.").

With respect to the Misdeclaration Invoice, Priva also seems to claim that because CMA contends its Misdeclaration Invoice is valid, that makes it so, but there remains uncertainty about the basis for that invoice and why CMA has not pursued the consignee, which the invoice clearly contemplates. This is highlighted by the fact that only one of the Malaysia Shipments received a misdeclaration charge even though the shipments contained the same descriptions and the same cargo. Regardless, Priva's position that the parties do not have a genuine dispute is inaccurate at best.

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<sup>7</sup> AIM notes that Priva previously objected to CX 200 as an impermissible settlement communication, which AIM denies. Priva identified CX 200 (bates labeled PRIVA\_0003) in its disclosures as support for its damages. CX 344 ("At this time, Priva provides the accompanying documents, Bates Stamped PRIVA\_00001-00003, as support for the misdeclaration fees and administrative costs and expenses."). It cannot identify and utilize CX 200 as support for its alleged damages and then claim the document is as settlement communication.

Likewise, its reliance on § 515.31(f) is completely lacking in merit, for the reasons discussed above. Priva fails to cite any authority to support its position, which is directly contrary to extensive decisions of the Commission. Accordingly, its opposition to this element should be disregarded and AIM has established § 545.4(d).

**D. Priva’s Refusal to Release the Italy Shipment Proximally Caused AIM to Incur Demurrage and Detention charges, which AIM Paid.**

Priva’s argument that its acts did not proximally cause AIM to incur damages further demonstrates its unreasonable conduct and refusal to accept any accountability for its actions. AIM is entitled to reparations for the actual injuries Priva caused. 46 U.S.C. § 41305(b). As Priva states in its brief and AIM agrees, non-speculative damages should be assessed based on “a reasonable approximation supported by evidence and by reasonable inferences . . . .” *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 32 (ALJ Sept. 29, 2021) (Initial Decision on Remand) (Affirmed June 10, 2022) (quoting *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc.*, FMC Dkt. No. 81-57, 26 S.R.R. 788, 798-799 (ALJ Nov. 23, 1992) (Admin. final 1992)). Here, the evidence meets this standard.

Here, Priva does not dispute the following: the Italy Shipment was due to arrive on June 14, 2025, it instructed CMA not to release the containers, and did not release the shipment until July 22, 2025. CPFF Nos. 51, 55, 61. It likewise offers no evidence rebutting Mr. Hudson’s declaration that the resulting delay resulted in the assessment of detention and demurrage charges, that AIM had to pay the charges for the containers to be fully released, and AIM ultimately incurred those costs. *See* CX 528, Hudson Declaration, ¶ 24-26. The communications further reflect that the containers would not be released until the charges were paid, which is consistent with Mr. Hudson’s declaration. CX 204 (“As soon as we receive the payment for the storage, we will proceed with the release of the BL.”). Priva admits that AIM had to issue a

credit note to its customer. *See* response to CPFF No. 64. Indeed, AIM informed Priva that it would hold Priva liable for any charges AIM incurred as a result of Priva's conduct. CX 199. To the extent that Priva's denial of this issue is based on the FMG invoice, the invoice was only provided to further support Mr. Hudson's declaration, which clearly states that AIM paid demurrage and storage charges as a result of Priva's conduct. Regardless, AIM provides a translated version to avoid any ambiguity. *See* CX 545-546.

Based on the evidence presented and the reasonable inferences drawn from that evidence, Priva's conduct proximately caused AIM's damages.

Accordingly, Priva's violation of § 41102(c) was the direct cause of the charges AIM incurred resulting in an actual injury to AIM.

### **III. CONCLUSION**

For the reasons set forth in AIM's opening brief and this Reply, the record establishes that Priva maintained a normal, customary, and continuous practice of withholding cargo to compel payment on unrelated disputes, that the practice relates to the receipt, handling, storage, or delivery of property, and that it is unjust and unreasonable under § 41102(c) and § 545.4. Priva's refusal to release the Italy Shipment directly caused AIM to incur demurrage and detention that AIM paid, warranting reparations. Accordingly, the Presiding Officer should grant AIM's requested relief, award reparations for AIM's actual injuries, and deny Priva's opposition and any request to legitimize its unlawful withholding practice.

**AMERICAN IRON & METAL COMPANY INC.’s BRIEF IN OPPOSITION  
TO THE INITIAL BRIEF OF PRIVA LOGISTICS, INC.**

**I. INTRODUCTION**

Priva files a one-count counterclaim asserting that AIM violated 46 U.S.C. § 41102(a) by allegedly misdeclaring cargo related to the Malaysia Shipments. Section 41102(a) effectively provides that a person cannot engage in certain enumerated conduct to obtain ocean transportation at less than the rates or charges “*that would otherwise apply.*” Put another way, the charges would have applied but for the alleged misconduct. Priva’s claim does not pass facial plausibility.

As an initial matter, Priva’s theory fails to answer the most basic question: why would AIM intentionally misdeclare the cargo in the first place? Priva offers no explanation. It does not identify any economic benefit AIM supposedly obtained by describing a cargo consisting of 97–98% shredded aluminum alloy as “aluminum alloy” rather than “aluminum scrap.” Nor does Priva identify any transportation rate, surcharge, fee, or other charge that AIM avoided through the description used on the relevant documents.

Indeed, Priva’s theory is contrary to common sense. If anything, cargo described as aluminum alloy would be expected to command a higher transportation value than aluminum scrap, making it difficult to understand why AIM would intentionally select that designation to obtain a financial advantage. Yet Priva offers no evidence that any freight rate, tariff provision, or transportation charge would have differed based on the terminology at issue.

Critically, Priva never explains how characterizing the cargo as “aluminum scrap” instead of “aluminum alloy” would have benefited AIM in any respect. Apart from the Misdeclaration Invoice that CMA generated after the fact, Priva identifies no charge, rate, or fee that would have applied had the cargo been described as “aluminum scrap.” The record therefore contains no

evidence that AIM sought to avoid any transportation-related charge, much less that it intentionally misdeclared cargo to do so.

Instead, Priva's theory is entirely circular. It contends that AIM misdeclared the cargo in order to avoid paying a misdeclaration charge, even though the misdeclaration charge itself exists only if Priva first proves that a misdeclaration occurred. Priva cannot establish motive by assuming the very conclusion it seeks to prove.

Even setting aside this defect in its claim, Priva cannot meet its burden of proof. It claims that AIM misdeclared cargo because the cargo consists of 97-98% shredded aluminum alloy and was described as aluminum alloy. It fails to explain how shredding an alloy makes it any less an alloy. It claims that AIM sought to hid information, but AIM is not in Malaysia. It can only provide information it receives from the consignees. Priva has also repeatedly claimed that AIM abandoned the containers even though AIM informed Priva that the cargo was not abandoned and it was in communication with the consignees. Indeed, the communications clearly reflect that the consignees were and are responding to CMA CGM ("CMA") and AIM.

Recognizing that its claim is legally deficient, it instead makes a number of sympathetic pleas and engages in hyperbole such as suggesting that AIM is akin to a burglar robbing a home.<sup>8</sup> Setting aside this inaccurate coloring, a fair reading of the communications reflects that communication broke down between several companies spanning multiple countries and especially between one AIM employee and Priva's owner. AIM attempted to fix the situation, but rather than work with AIM, Priva elected to take an antagonistic approach instructing CMA not to work with AIM, hold AIM's freight hostage, and issuing increasing and unsupported

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<sup>8</sup> To be clear, AIM is a family run business that is committed to the communities engaging in efforts related to hunger relief, health and wellness, education support and youth programs. <https://aim-global.com/about-us/our-impact/> (last visited June 15, 2026).

demands, all of which culminated in AIM having to initiate this action so that its containers would be released.

In the end, AIM continues to work with the consignee and CMA to resolve the issue while Priva has elected to pursue damages it created unilaterally based on what it determined was reasonable. The Presiding Officer should deny Priva's claim.

## **II. AIM'S RESPONSES TO PRIVA'S PROPOSED FINDINGS OF FACT<sup>9</sup>**

1. Priva is a U.S.-based non-vessel-operating common carrier ("NVOCC") with FMC Organization and License Number 025540.

**RESPONSE:** Admitted.

2. On or about May 27, 2021, a company called "American Iron & Metal USA Inc. ("AIM USA") into a Letter of Guarantee and Indemnity ("LOI") with Priva. RX 13.

**RESPONSE:** Admitted in part, denied in part. AIM admits that Priva has attached a document purporting to be a Letter of Guaranty and Indemnity that is dated May 27, 2021, between American Iron & Metal USA Inc. and Priva. AIM denies any implication that it is a party to the LOI or that the LOI has any relevance to this matter as established by the plain words of the document. AIM USA is a separate company from AIM and is incorporated under the laws of the State of Delaware. CX 254, Certificate of Good Standing for American Iron & Metal USA, Inc.; CX 255, Certificate of Compliance for American Iron & Metal Company, Inc. Neither entity is a subsidiary of the other. CX 441 Hudson Dep. 35:21-36:15. Further, the Federal Maritime Commission ("FMC" or "Commission") does not have subject matter jurisdiction over the agreement or breach of the agreement. In fact, the LOI expressly states that "any and all disputes hereinunder is subject to the Laws of the State of New York to the exclusion of any and all other

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<sup>9</sup> In response to Priva's arguments and statement of facts, AIM is submitting a supplemental appendix with additional exhibits labeled CX 533-546.

laws and exclusive jurisdiction is vested solely in the Courts residing in the State of New York, whether State or Federal Courts, to the exclusion of the Courts of any other potential jurisdiction(s).” RX 13. Accordingly, this evidence is improper, irrelevant, immaterial, unreliable, has no probative value, and is inadmissible.

3. The LOI was executed by Katherine Serrato on behalf of “American Iron & Metal USA Inc” (“AIM USA”). RX 13.

**RESPONSE:** Denied. AIM denies any implication that it is a party to the LOI or that the LOI has any relevance to this matter as established by the plain words of the document. AIM USA is a separate company from AIM and is incorporated under the laws of the State of Delaware. CX 254, Certificate of Good Standing for American Iron & Metal USA, Inc.; CX 255, Certificate of Compliance for American Iron & Metal Company, Inc. Priva did not seek any testimony or discovery from Katherine Serrato or AIM USA and presented no evidence authenticating the signature or Ms. Serrato’s authority to execute the document. Further, the Commission does not have subject matter jurisdiction over the agreement or breach of the agreement. The LOI also expressly states that “any and all disputes hereinunder is subject to the Laws of the State of New York to the exclusion of any and all other laws and exclusive jurisdiction is vested solely in the Courts residing in the State of New York, whether State or Federal Courts, to the exclusion of the Courts of any other potential jurisdiction(s).” RX 13. Accordingly, this evidence is improper, irrelevant, immaterial, unreliable, has no probative value, and is inadmissible.

4. The LOI required that AIM: (1) correctly declare the cargo shipped; (2) have its consignee immediately retrieve the cargo from the port of destination during free time; and (3) indemnify Priva and guarantee and pay for any and all loss, damage, or expense including, but not limited to demurrage, detention, storage, destination fees, port charges,

collect surcharges, disposal fees, re-export charges, customs penalties, and related charges at the port of discharge caused by any delay or failure of the consignee to take delivery of the cargo within free time. RX 13.

**RESPONSE:** Denied. This is a legal conclusion, not a finding of fact. AIM further denies any implication that it is a party to the LOI or that the LOI has any relevance to this matter as established by the plain words of the document. AIM USA is a separate company from AIM and is incorporated under the laws of the State of Delaware. CX 254, Certificate of Good Standing for American Iron & Metal USA, Inc.; CX 255, Certificate of Compliance for American Iron & Metal Company, Inc. Further, the Commission does not have subject matter jurisdiction over the agreement or breach of the agreement. The LOI also expressly states that “any and all disputes hereinunder is subject to the Laws of the State of New York to the exclusion of any and all other laws and exclusive jurisdiction is vested solely in the Courts residing in the State of New York, whether State or Federal Courts, to the exclusion of the Courts of any other potential jurisdiction(s).” RX 13. Accordingly, this evidence is improper, irrelevant, immaterial, unreliable, has no probative value, and is inadmissible.

5. Katherine Serrato worked in AIM’s headquarters in Montreal, Canada, with AIM’s logistics department employees including AIM’s Vice President of Logistics, Mr. Mark Hudson. CX 446 (Hudson Depo. p. 20:15-22); CX 459 (Hudson Depo. p. 70:21 – p. 72:9).

**RESPONSE:** Admitted in part, denied in part. AIM admits that Mr. Mark Hudson was formerly AIM’s Vice President of Logistics. AIM denies the remainder of this paragraph because it mischaracterizes Mr. Hudson’s testimony. AIM further denies any implication that Serrato worked for AIM, as opposed to AIM USA. Mr. Hudson testified that AIM and AIM USA did not

share office space as Ms. Serrato was the only AIM USA employee in the office and had her own well at the end of the department. He further testified he believed AIM USA was headquartered in Delaware and that her boss works in Minneapolis. CX 441, Hudson Depo. 70:21 – p. 72:12, 73:8-20. AIM incorporates its position regarding the Commission’s subject matter jurisdiction over the agreement from RPFF Nos. 2-4 by reference.

6. Katherine Serrato’s email address was “kserrato@aim-global.com”. RX 43.

**RESPONSE:** Admitted.

7. On August 2, 2024, Priva was notified by AIM that “Katherine [Serrato] is no longer with AIM.” RX 42.

**RESPONSE:** Admitted.

8. Mr. Hudson testified that he had seen the LOI “[w]hen I reviewed the file. And this is some four and a half, five years ago, so maybe – yeah, maybe it – obviously it relates to when we first were introduced or we first heard the name Priva.” CX 458-59 (Hudson Depo. p. 68:12 – p. 69:5); RX 13.

**RESPONSE:** Admitted in part, denied in part. AIM admits to the testimony but denies its characterization. Read fairly, Mr. Hudson was referring to the discovery produced in this matter when he stated he had seen the LOI when he reviewed the file in preparation for his deposition.

9. Based on the LOI, it seemed to Hudson that AIM’s business relationship with Priva started somewhere around 2021. CX 459 (Hudson Depo. p. 69:2-5).

**RESPONSE:** Denied. This is a legal conclusion, not a statement of fact. Further, AIM incorporates its position regarding the Commission’s subject matter jurisdiction over the agreement from RPFF Nos. 2-4 by reference.

10. AIM and AIM USA share that nearly identical company logos, which “look[] the same” according to Mr. Hudson. CX 459 (Hudson Depo. p. 70:5-19); RX 13.

**RESPONSE:** Admitted in part, denied in part. AIM denies this paragraph given its mischaracterization of the document at issue. Priva focuses on a logo in the upper left corner of the document, but ignores the following:

- To the right of the logo on the LOI it clearly states, “American Iron & Metal USA, Inc 874 WALKER ROAD, SUITE C DOVER, DELAWARE 19904 USA”;
- The first sentence states, “We **American Iron & Metal USA Inc . . .**” (emphasis in the original);
- The signature is “For and on behalf of: **American Iron & Metal USA Inc**” (emphasis in the original), and the stamp to the right of the signature is for “American Iron & Metal USA Inc.”

RX 13.

Further, AIM incorporates its position regarding the Commission’s subject matter jurisdiction over the agreement from RPFF Nos. 2-4 by reference.

11. Mr. Hudson testified he did not know if AIM USA had its own website. CX 460 (Hudson Depo. p. 73:21-22).

**RESPONSE:** Admitted in part, denied in part. AIM admits as to Mr. Hudson’s testimony but denies its mischaracterization. Mr. Hudson does not have knowledge of AIM USA’s operations because he worked for AIM and was presented as a corporate deponent on behalf of AIM, not AIM USA. Hudson 441, 9:17-21, 10:20-11:11, 29:9-12.

12. “AIM Global” has several “divisions” or affiliated companies, including: (1) AIM Recycling; (2) AIM Kenny U-Pull; (3) AIM Eco-Center; (4) AIM Global Solder

Solutions; (5) AIM Minesource; (6) AIM Delsan; and (7) Honeycomb. CX 448 (Hudson Depo. p. 28:9-12); CX 449 (Hudson Depo. p. 31:6-9); RX 52-53.

**RESPONSE:** AIM objects to RX 52-53. Priva has not provided any evidence as to when or where this document was collected. Nothing within the document or cited evidence establishes that this document existed during the relevant events at issue or its connection to the shipments at issue. Accordingly, this evidence is improper, irrelevant, immaterial, unreliable, has no probative value, and is inadmissible. To the extent the evidence is considered, Mr. Hudson testified that he did not have knowledge regarding whether certain companies are divisions or separate entities. Hudson 441, 29:6-31:3.

13. Priva has acted as intermediary in arranging bookings for the following AIM entities in the past: American Iron & Metal Co. Inc.; American Iron & Metal Cleveland LLC; American Iron & Metal USA Inc.; AIM International LLC; AIM Recycling Hong Kong Co., Ltd.; and AIM Global. RX 2 (Dutta Declaration ¶ 7).

**RESPONSE:** Admitted in part, denied in part. AIM admits that Priva acted as an intermediary in arranging bookings for AIM (i.e., AIM Montreal/Canada) including the various bookings identified in AIM's Proposed Findings of Fact. See CPFF ¶¶ 11-14, 40-41, 50. AIM denies the remainder of the paragraph. None of these entities or any alleged bookings with them are at issue in this matter and were not alleged in Priva's Counterclaim, its discovery responses or any documents it produced in this matter. Accordingly, this evidence is improper, irrelevant, immaterial, unreliable, has no probative value, and is inadmissible.

14. AIM Recycling was founded in 1936 and is "a division of American Iron & Metal (AIM) is a family-owned Canadian company that has become one of the world's leading metal recyclers." RX 45-68.

**RESPONSE:** AIM admits it is a family-owned Canadian company, but objects to RX 47-68.

Priva has not provided any evidence as to when or where this document was collected. Nothing within the document or cited evidence establishes that this document existed during the relevant events at issue or its connection to the shipments at issue. Accordingly, this evidence is improper, irrelevant, immaterial, unreliable, has no probative value, and is inadmissible.

15. AIM Recycling has a location located at 785 East M. Street, Colton, California, 92324.

RX 65; RX 44; CX 6 (signature block of Melinda Walker, employee of AIM Recycling).

**RESPONSE:** Admitted. By way of further response, RX 44 and CX 6 both specifically state that the booking requested is for AIM Montreal.

16. Mr. Hudson testified that the cargo at issue in the Malaysia Shipments was purchased from AIM USA and loaded into the subject containers by “people in the yard at AIM USA,” which is located in Colton, California. CX 470 (Hudson Depo. p. 113:22 – p. 115:5).

**RESPONSE:** Admitted.

17. AIM Recycling’s website is [www.aim-recycling.com](http://www.aim-recycling.com). RX 65, 68.

**RESPONSE:** Admitted.

18. The email address domain names for all AIM employees that communicated with Priva concerning AIM’s shipments were “@aim-global.com” or “@aim-recycling.com.” *See e.g.*, CX 5-6; CX 16-17; CX 18-20.

**RESPONSE:** Admitted.

19. Individuals with “@aim-recycling.com” email address domains would request shipment bookings on behalf of “AIM Montreal” and “AIM Canada”, including the Malaysia Shipments. CX 5-6; CX 16-17; CX 18-20; RX 42-44.

**RESPONSE:** Admitted.

20. During his deposition as the corporate representative of AIM, Mr. Hudson was asked whether “someone who has an AIM Recycling email address” has “a different employer than someone with an AIM Global email address?” Mr. Hudson answered, “I couldn’t honestly tell you the answer to that question.” CX 450 (Hudson Depo. p. 33:1-7).

**RESPONSE:** Admitted.

21. AIM and AIM USA are in the same general line of business. CX 451 (Hudson Depo. p. 38:12-16).

**RESPONSE:** Admitted.

22. Based on its business dealings with AIM, AIM had “several companies” that would take bookings and remit payment to Priva on behalf of each other for Priva’s shipments. Priva understood AIM USA to be a subsidiary of AIM and that AIM USA and AIM “have joint operations, but it’s the same company.” Priva further understood AIM USA and AIM to be the same company because AIM has a “bunch of companies. But their operations are all, like, united, joined. They have many, very many companies and different subsidiaries.” CX 387 (Dutta Depo. p. 158:6 – p. 160:20); CX 388 (Dutta Depo. p. 162:8-21); RX 1-3 (Dutta Declaration ¶¶ 3-9).

**RESPONSE:** Denied. This is a legal conclusion, not a finding of fact. Further, Priva and Ms. Dutta’s allegations regarding the corporate and legal structure of AIM and AIM USA lacks foundation and is speculative. The shipments at issue were clearly listed for “American Iron & Metal Company Inc.” in both the underlying sales contracts and the bills of lading. CPFF Nos. 1-2, 4-5, 10, 25. Priva failed to name AIM USA as a party to this matter and any claims against it are not properly before the the Commision. To the extent Priva contends these companies are one

and the same, it failed to plead such allegations. Accordingly, this evidence is improper, irrelevant, immaterial, unreliable, has no probative value, and is inadmissible. To the extent that the Commission considers this information, AIM USA and AIM are not subsidiaries of one another and are not owned by the same parent company. CX 441, Hudson Dep. 35:21-36:15, 69:10-70:4.

23. Considering the nature of Priva's business dealings with AIM's various companies it was Priva's belief that the LOI was intended to apply to AIM and its affiliated and/or related companies because their operations were united and joined. CX 387 (Dutta Depo. p. 158:6 – p. 160:20); CX 388 (Dutta Depo. p. 162:8-21); RX 1-3 (Dutta Declaration ¶¶ 3-9).

**RESPONSE:** Denied. Priva's proposed finding ultimately seeks a legal conclusion that drastically attempts to modify the terms of a purported contract and hold distinct legal entities liable for the one another's alleged acts. The shipments at issue were clearly listed for "American Iron & Metal Company Inc." in both the underlying sales contracts and the bills of lading. CPFF Nos. 1-2, 4-5, 10, 25. Priva failed to name AIM USA as a party to this matter and any claims against it are not properly before the the Commission. To the extent Priva contends these companies are one and the same, it failed to plead such allegations. AIM incorporates its position regarding the Commission's subject matter jurisdiction over the agreement from RPFF Nos. 2-4 by reference. Accordingly, this evidence is improper, irrelevant, immaterial, unreliable, has no probative value, and is inadmissible.

24. Because individuals with "@aim-global.com" and "@aim-recycling.com" email address domain names would frequently be included on emails between AIM and Priva, Priva believed that these individuals all worked for AIM. RX 1-3 (Dutta Declaration ¶¶ 3-9).

**RESPONSE:** Denied for the reasons set forth in response to RPFF No. 23.

25. Based on the findings of fact above, AIM and AIM USA were indistinguishable entities that effectively operated as one company with regards to its business dealings with Priva, the LOI, and the Malaysia Shipments.

**RESPONSE:** Denied. This is a legal conclusion, not a finding of fact. Priva's proposed finding ultimately seeks a legal conclusion that drastically seeks to modify the express terms of a purported contract and hold distinct legal entities liable for one another's alleged acts. The shipments at issue were clearly listed for "American Iron & Metal Company Inc." in both the underlying sales contracts and the bills of lading. CPFF Nos. 1-2, 4-5, 10, 25. Priva failed to name AIM USA as a party to this matter and any claims against it are not properly before the the Commission. To the extent Priva contends these companies are one and the same, it failed to plead such allegations. AIM incorporates its position regarding the Commission's subject matter jurisdiction over the agreement from RPFF Nos. 2-4 by reference.

26. On or about January 26, 2024, AIM entered into a contract (contract no. 2401-4697) with GSM Supply Sdn. Bhd. ("GSM") for sale of "**ZORBA 98-3**", with a specification of "98% metallic and 3% reds" to be delivered to Port Klang West, Malaysia. CX 1 (emphasis added).

**RESPONSE:** Admitted. By way of further response, the percentage should have been either 98% metallic and 2% reds or 97% metallic and 3% reds because the percentages should equal 100%. CX 441, Hudson Dep. 135:3-13.

27. For reasons not detailed therein, the GSM sales contract provided that the Zorba material sold to GSM was instead to be described as "Aluminum Alloys" with an HS Code of "7601.20.0000" on the bill of lading. CX 1.

**RESPONSE:** Admitted. By way of further response, Zorba is shredded aluminum material. (CX 441, Hudson Dep. 56:12-14, 57:11-13; Hudson Declaration, ¶8-10.). In the metal industry, the material is referred to as shredded aluminum scrap and in the recycling industry it is referred to as Zorba. CX 441, Hudson Dep. 57:3-10. AIM's belief and understanding is that the Zorba does not have a commodity code, and the primary difference between Zorba and aluminum alloy is that Zorba is shredded. Zorba is a trade name for shredded aluminum alloy. CX 441, Hudson Dep. 57:11-13, 58:16-59:6, 144:10-20.

28. The GSM sales contract provided that the Zorba material sold to GSM was to be shipped to GSM as the consignee for the shipment in 10 containers. CX 1.

**RESPONSE:** Admitted.

29. On or about January 26, 2024, AIM entered into a contract (contract no. 2401-4696) with Rising Streams Sdn. Bhd. ("Rising Streams") for the sale of "**ZORBA**", with a specification of "98% metallic and 3% reds" to be delivered to Port Klang West, Malaysia. CX 2 (emphasis added).

**RESPONSE:** Admitted.

30. The Rising Streams sales contract also provided that the Zorba material sold to Rising Streams was instead described as "Aluminum Alloys" with an HS Code of "7410.22.0000" on the bill of lading, though no reason for this altered description was provided therein. CX 2.

**RESPONSE:** Admitted. By way of further response, Zorba is shredded aluminum material. (CX 441, Hudson Dep. 56:12-14, 57:11-13; Hudson Declaration, ¶8-10.). In the metal industry, the material is referred to as shredded aluminum scrap and in the recycling industry it is referred to as Zorba. CX 441, Hudson Dep. 57:3-10. AIM's belief and understanding is that the Zorba does

not have a commodity code, and the primary difference between Zorba and aluminum alloy is that Zorba is shredded. Zorba is a trade name for shredded aluminum alloy. CX 441, Hudson Dep. 57:11-13, 58:16-59:6, 144:10-20.

31. The Rising Streams sales contract provided that the Zorba material sold to Rising Streams was to be shipped to Neptune Metal Trading (“Neptune”) as the consignee for the shipment in 10 containers. CX 2.

**RESPONSE:** Admitted.

32. On January 26, 2024, AIM requested that Priva generate two bookings for the transportation of the Zorba material sold by AIM to GSM and Rising Streams, respectively, from Los Angeles, California, to Port Klang West, Malaysia. CX 5-6.

**RESPONSE:** Admitted.

33. Nowhere on these instructions by AIM will the Presiding Officer find the word “ZORBA”; AIM instead instructed Priva to declare the Zorba material being shipped as “aluminum alloy” with an HS Code of 7601.2 on the bills of lading for each shipment and, in turn, Priva provided AIM with booking confirmations for the two shipments under booking numbers NAM6677014 and NAM6677015. CX 4-12; CX 16-20.

**RESPONSE:** Admitted in part, denied in part. AIM admits this paragraph but denies any implication that it hid the commodity from Priva or from CMA. The booking confirmation for both Malaysia Shipments described the commodity as follows:

HS Commodity: **Waste and scrap, of aluminium Container Grade: Scrap**

BOC Commodity: **Waste and scrap, of aluminium** (excl. slags, scale

(CX 7; CX 10).

Priva conceded these descriptions were disclosed to CMA at the time of booking:

Q. And then if we look at the HS commodity for the booking confirmation, it says Waste and scrap, of aluminum?

**A. Right.**

Q. And then the BOC Commodity, Waste and scrap, of aluminum?

**A. Okay.**

Q. Right? So this was information that was provided to CMA, and then CMA generated the booking confirmation identifying the commodity?

**A. Yes.**

Q. Okay. And so I mean that was disclosed to CMA at the time of booking, that there would be aluminum waste, aluminum scrap?

**A. Yeah, I guess so. Because metal scrap falls under one contract.**

Q. And that's used to determine the rate for transportation?

**A. Yes, exempt contract, correct.**

...

Q. Same information [for the Second Malaysia Shipment] -  
- same response, if I go through the same list of questions.  
You have the waste and scrap of aluminum here that was disclosed to CMA?

**A. Okay, yes, exempt.**

Q. Okay. And likewise used for the rate, correct?

**A. Correct.**

(CX 347, Priyanka Dep., 150:18-152:9.). By way of further response, Priva has not identified a commodity code for “Zorba” and AIM is not aware of one as the primary difference between

Zorba and aluminum alloy is that Zorba is shredded and is a trade name for shredded aluminum alloy. CX 441, Hudson Dep. 57:11-13, 58:16-59:6, 144:10-20.

34. Discovery revealed the packing list and invoice issued by AIM to its customer, Rising Streams, for booking number NAM6677014 describes the commodity sold and shipped as “ZORBA.” CX 21-22; CX 25-27.

**RESPONSE:** Admitted. AIM admits this paragraph but denies any implication that it hid the commodity from Priva or from CMA. For the sake of brevity, AIM incorporates its response to paragraph 33 above.

35. Discovery further revealed the packing list and invoice issued by AIM to its customer, GSM, for booking number NAM6677015 describes the commodity sold and shipped as “ZORBA 98/3.” CX 23-24; CX 28-30.

**RESPONSE:** Admitted. AIM admits this paragraph but denies any implication that it hid the commodity from Priva or from CMA. For the sake of brevity, AIM incorporates its response to paragraph 33 above.

36. During his deposition as corporate representative of AIM, Mr. Mark Hudson reviewed photographs of the cargo within the containers at issue as loaded. CX 470-71 (Hudson Dep. pp. 115-119); RX 14-33.

**RESPONSE:** Admitted.

37. Mr. Hudson testified that the Zorba material sold by AIM to GSM and Rising Streams was a mixture of separate pieces of aluminum, brass, and/or copper. CX 471 (Hudson Depo., p. 118:1 – p. 119:5); *see also*, CX 529 (Hudson Declaration, ¶¶ 8-10).

**RESPONSE:** Admitted. By way of further response, this is consistent with the sales contracts and Mr. Hudson’s testimony which described the cargo as “98% metallic and 3% reds” meaning

that it contained aluminum and pieces of copper or brass. CX 441, Hudson Depo., p. 118:1 – p. 119:5; CX 529, Hudson Declaration, ¶¶ 8-10. The fact that pieces of copper and brass might be contained in the material and the cargo could be used in further processing does not somehow render the shredded aluminum alloy a non-alloy or pure aluminum.

38. The Zorba material sold by AIM to GSM and Rising Streams was “for remelting, so it would constitute an alloy when melted.” CX 471 (Hudson Depo., p. 119:12-13).

**RESPONSE:** Admitted. By way of further response, Priva still seems to misunderstand the nature of the cargo at issue. AIM incorporates its response to RPFF No. 37.

39. “Alloy” is defined as “a substance composed of two or more metals or of a metal and a nonmetal intimately united usually by being fused together and dissolving in each other when molten.” *Alloy*, merriam-webster.com, <https://www.merriam-webster.com/dictionary/alloy> (last visited May 26, 2026). 46 C.F.R. § 502.226.

**RESPONSE:** AIM does not object to the definition provided but does object to Priva’s contention that metallurgy falls within the knowledge of the Commission as an expert body. By way of further response, AIM incorporates its response to RPFF No. 38.

40. The Zorba material sold by AIM to GSM and Rising Streams was not melted together at the time it was sold or shipped. Rather, the metal material sold by AIM was comprised of pieces of aluminum and “free pickable” pieces of copper and/or brass, which were separate and apart from the pieces of aluminum. CX 477-478 (Hudson Depo. p. 118:1 – p. 119:22; p. 144:21 – p. 145:9); RX 14-33; CX 529 (Hudson Declaration, ¶¶ 8-10).

**RESPONSE:** Admitted in part, denied in part. AIM admits the material consisted of 97-98% shredded aluminum alloy and 2-3% of “free pickable” pieces of copper or brass. AIM denies that

the remaining 97-98% of the material is not aluminum alloy. AIM incorporates its response to RPFF No. 37.

41. As it was not melted together, the impact is that the Zorba material sold by AIM was not metal alloy because it was comprised of separate, discrete pieces of aluminum, brass, and/or copper. CX 471, 477-478 (Hudson Depo. p. 118:1 – p. 119:22; p. 144:21 – p. 145:9); RX 14-33.

**RESPONSE:** Denied. As AIM explained multiple times and the documents reflect, the material consisted of 97-98% shredded aluminum alloy and 2-3% of “free pickable” pieces of copper or brass. Accordingly, 97-98% of the material is aluminum alloy. AIM incorporates its response to RPFF No. 37.

42. “Harmonized Code” means the coding provisions of the Harmonized System. 46 C.F.R. § 520.2; 46 C.F.R. § 502.226.

**RESPONSE:** Admitted.

43. “Harmonized System” means the Harmonized Tariff Schedule of the United States, published by the U.S. International Trade Commission, and Schedule B, administered by the U.S. Census Bureau. 46 C.F.R. § 520.2; 46 C.F.R. § 502.226.

**RESPONSE:** Admitted.

44. According to Mr. Hudson, HS Codes are “a designation of material” used when shipping materials. CX 456 (Hudson Depo. p. 58:5-10).

**RESPONSE:** Admitted.

45. The HS Codes assign specific numeric codes for “aluminum alloys” (7601.20) and “aluminum waste and scrap” (7602). RX 69-79; 46 C.F.R. § 502.226; *see also* CX 479 (Hudson Depo. p. 149:14-19).

**RESPONSE:** Admitted.

46. AIM's determination to assign a specific cargo description and HS Code for the materials it shipped was based on two considerations: "First of all, the request of the customer, and secondly, our assessment that it fell within the category, satisfactory request fell within the category." CX 478 (Hudson Depo. p. 147:15 – p. 148:2).

**RESPONSE:** Admitted. By way of further response, Mr. Hudson testified that on each shipment AIM reviews the HS code that's being requested is fair and reasonable. CX 441, Hudson Dep. 60:5-13.

47. Mr. Hudson testified that AIM's operations personnel are trained on cargo classification under the HS Codes and conduct AIM's secondary assessment of the customer's request. If AIM is unsure about the proper cargo classification, its policy was to consult the "HS codes bible, handbook, whatever and make sure that it was correct." AIM also does a visual inspection and takes photographs of the cargo it ships as part of this process. CX 456 (Hudson Depo. p. 60:5 – p. 61:21).

**RESPONSE:** Admitted. By way of further response, Mr. Hudson testified that on each shipment AIM reviews the HS code that's being requested to ensure it is fair and reasonable. CX 441, Hudson Dep., 60:5-13.

48. With regards to the Malaysia Shipments, however, AIM did not follow its own policies and instead relied solely on the representations of its customer, Rising Streams, to AIM's sales team when selecting the cargo description and HS Code for the NAM6677014 containers and took no other actions to verify that classification was correct. AIM's sales team is not trained on the HS Codes. CX 480-481 (Hudson Depo. p. 156:1 – p. 157:2) (discussing Hudson Depo. Exhibit 9 (RX 80-82)).

**RESPONSE:** Denied. The cited testimony does not state that AIM did not follow its own policies and relied solely on the representations of the customer. Mr. Hudson testified that AIM's process is to verify that the HS code that is requested is fair and reasonable. CX 441, Hudson Dep. 60:5-13. Here, AIM emailed the consignee regarding the draft bill of lading instructions on February 13, 2024, and asked the consignee to reconfirm if the HS code should be "7602.00/7601.20, or 7410", clarifying that "Aluminum should be 7602 or 7601" as "7410 is for Copper, not Aluminum." CX 13. The two codes AIM suggested were for aluminum alloy or aluminum scrap, because copper was incorrect, and the customer requested an aluminum alloy designation. The requested classification was fair and reasonable to AIM because the cargo contained 98% shredded aluminum alloy. The entire discussion demonstrates that AIM was reviewing the description and code to ensure they were reasonable.

49. On or about February 23, 2024, CMA CGM issued two sea waybills for the Malaysia Shipments under bill of lading numbers NAM6677014 and NAM6677015, each covering ten (10) containers. CX 31-38.

**RESPONSE:** Admitted.

50. Both sea waybills contained cargo descriptions of "Aluminum Alloys" (on sea waybill NAM6677015) or "Aluminum Alloy" (on sea waybill NAM6677014) with the HS Code of 7602.20. CX 31-38.

**RESPONSE:** Admitted.

51. The booking confirmations for the Malaysia Shipments sent to AIM on January 29, 2024, contain applicable bill of lading clauses governing the shipments. *See* CX 9 (NAM6677014) and CX 12 (NAM6677015).

**RESPONSE:** Denied. This is a legal conclusion, not a finding of fact.

52. Bill of lading clause 6 found on both booking confirmations reads, in pertinent part, “The Shipper warrants to the Carrier that the particulars relating to the Goods as set out overleaf have been checked on receipt of this Bill of Lading and that such particulars, and any other particulars furnished by or on behalf of the Shipper, are adequate and correct. ...in case of any failure of the Shipper to comply with the above, the Carrier shall be entitled to charge the Shipper, or any party which is jointly liable with the Shipper, at any time an amount of USD 2,000 as processing and operational fees in addition to a penalty of...5,000 per non dangerous container misdeclared.” CX 9, 12.

**RESPONSE:** Denied. This is a legal conclusion, not a finding of fact. By way of further response, the phrase “as set out overleaf have been checked on Receipt of *this* Bill of Lading . . . .” (emphasis added). Based on this language the document appears to be referring to the booking confirmation. CX 9; CX 12.

53. Bill of lading clause 366 found on both booking confirmations reads, in pertinent part, “366. The Merchant warrants that the particulars relating to the Goods have been checked and that such particulars are adequate and correct.” CX 9, 12.

**RESPONSE:** Denied. This is a legal conclusion, not a finding of fact.

54. The sea waybills issued by CMA CGM for the Malaysia Shipments also expressly incorporate bill of lading clause number 366. CX 34, 38.

**RESPONSE:** Denied. This is a legal conclusion, not a finding of fact.

55. Failure to comply with bill of lading clause 366 can result in the assessment of fees and penalties by CMA CGM. See CX 9, 12, 34, & 38.

**RESPONSE:** Denied. This is a legal conclusion, not a finding of fact.

56. On or about February 23, 2024, the Malaysia Shipments arrived in Port Klang West, Malaysia. CX 54 (“Call Date: 23 FEB 2024”).

**RESPONSE:** Admitted.

57. On April 26, 2024, Priva notified AIM that CMA CGM was inquiring with Priva as to why the containers under NAM6677014 had not been picked up from Port Klang West by AIM’s consignee. CX 49-50.

**RESPONSE:** Admitted. By way of further response, AIM responded on April 30, 2024, stating that it was contacting the customer overseas and hoped to have more information soon. (CX 49). On May 1, 2024, AIM responded that “according to the customer it is due to customs inspection - can you please double check[.] I need to know when CMA advised of the issue and what CMA is saying the reason for the delay[.]” CX 49.

58. On May 1, 2024, Priva again followed up with AIM on the status of the containers under NAM6677014 and NAM6677015, which were still idling at Port Klang West. CX 48.

**RESPONSE:** Denied. Priva seems to suggest that Priva was asking for information when the communications clearly reflect that AIM was asking Priva for information so that it could understand the reasons for the delays after Priva did not provide responsive information. CX 48 (“I am asking you to confirm with CMA the reason [for the] delays[.] I [want] to make sure it is due to customs holds or other issues.”). AIM also asked if Priva had other containers on hold at destination besides AIM’s. CX 48. It does not appear Priva responded to either inquiry.

59. On May 2, 2024, AIM informed Priva that its consignee advised the delay was due to a Malaysian Customs hold for inspection. CX 47.

**RESPONSE:** Admitted. By way of further response, AIM also informed Priva on May 1, 2024. CX 48.

60. On May 13, 2024, Priva received a letter from CMA CGM “Re: Pre-Abandonment Notice for Idle Cargo” (the “Pre-Abandonment Notice”) CX 39.

**RESPONSE:** Admitted.

61. The Pre-Abandonment Notice stated that the containers under bill of lading NAM6677014 remained uncollected at Port Klang West. CMA CGM advised that the failure to resolve the issue has resulted in demurrage charges, which continued to accrue. CMA CGM further requested that the containers be picked up by May 15, 2024, failing which the containers would be considered abandoned and, thereafter, CMA CGM would commence salvage of the goods to “satisfy any and all costs associated with this matter.” The Pre-Abandonment Notice further stated that Priva would “be held liable for any costs in excess of those covered by salvage or resulting from the disposal of the goods.” CX 39.

**RESPONSE:** Admitted in part, denied in part. AIM admits that Priva received the letter on or around the date provided. The remainder of this paragraph is denied as it is a legal conclusion and not a finding of fact. By way of further response, the letter indicates that CMA would consider the cargo abandoned and that it would take action if the matter was not resolved by May 15, 2024. It never did, creating further confusion for the parties involved.

62. On May 13, 2024, Priva provided the Pre-Abandonment Notice to AIM and requested that AIM “respond in writing by MAY 15, 2024 concerning the resolution of this issue.” CX 47.

**RESPONSE:** Admitted. By way of further response, AIM responded to Priva the same day informing Priva that AIM was reaching out to the customer and would be in communication. CX 46-47. On May 14, 2024, AIM followed up with Priva stating it had been in contact with the customer and to “Please also try to talk with CMA and tell them that the current situation. It's not

that our consignees don't want to pick the containers, it's the Malaysia Customs hold their containers. Please ask them to communicate with Malaysia Customs as well to try to find a solution.” CX 46.

63. The NAM6677014 containers were not picked up before May 15, 2024, and AIM did not provide written explanation concerning the resolution of the issue prior thereto. *See* CX 46-47.

**RESPONSE:** Admitted in part, denied in part. AIM admits the containers were not picked up before May 15, 2024, but denies the remainder of this paragraph. AIM again informed Priva that it was communicating with its customer, the issue was a hold by Malaysia customs and asking for assistance to try and find a solution. CX 46-47.

64. On May 16, 2024, CMA CGM sent a letter “Re: Abandoned Cargo – Notification of Final Lien” to Priva and AIM (the “Final Lien Letter”). CX 40.

**RESPONSE:** Admitted.

65. The Final Lien Letter stated that the NAM6677014 containers remained idle at Port Klang West and, as such, CMA CGM considered the cargo abandoned. The Final Lien Letter further stated that Priva would be held liable for all amounts related to the costs associated with CMA CGM’s disposal efforts. CX 40.

**RESPONSE:** Admitted.

66. On May 16, 2024, Priva provided the Final Lien Letter to AIM. CX 46.

**RESPONSE:** Admitted.

67. Later that same day, Priva’s Priyanka Dutta emailed AIM emphasizing the seriousness of the situation, noting that AIM had been provided with multiple reminders to pick up the

cargo, had failed to provide any concrete responses, and requesting that AIM “kindly get back to me asap on this.” CX 46.

**RESPONSE:** Denied. AIM was working in good faith with Priva to obtain information and asked for assistance including inquiring as to communications with Malaysia customs to find a solution. On May 14, 2024, asked Priva for assistance: “Please also try to talk with CMA and tell them that the current situation. It's not that our consignees don't want to pick the containers, it's the Malaysia Customs hold their containers. Please ask them to communicate with Malaysia Customs as well to try to find a solution.” CX 46. AIM does not have visibility on the containers when they arrive in Port Klang and was working with its customer in Malaysia as reflected below. Priva did not respond to those communications and instead elected to begin taking an antagonistic approach in its response to AIM. CX 46.

Contrary to Priva’s narrative that the no one was communicating as to the status of the containers, the receiver of the Malaysia Shipments informed AIM, CMA and Priva on April 11, 2025, that they “want to deal with [the container issue] ASAP, but unfortunately, I haven’t received information from Malaysia customs, we have to wait.” CX 334. In fact, AIM continues to work with CMA to resolve the issue. As recently as February 25, 2026, AIM informed CMA and CMA Malaysia that the consignee is “actively working on these containers and are **not abandoning them**” and “CMA POD@mys.service@cma-cgm.com continue contacting GSM/Qixin directly to resolve this matter.”<sup>10</sup> CX 328; see also CX 332, advising on February 25, 2026, that the consignee is currently in negotiations with customs.

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<sup>10</sup> In its response to CPFF Nos. 38-39, Priva claims that the communications only pertain to one of the Malaysia Shipments, but the subject lines and body of the emails clearly reference both shipments (NAM6677014 and NAM6677015). See CX 332-342. It is unclear why CMA is combined the two shipments in a single email.

To the extent that Priva maintains that only the consignee for Booking No. NAM6677015 (i.e., GSM) is responding to CMA, this is also inaccurate. On May 29, 2026, AIM confirmed with CMA that the consignee of Booking No. NAM6677014 (i.e., Neptune Metal/Rising Streams) would provide information to CMA regarding the status of the containers. CX 538-539. On June 1, 2026, the consignee for Booking No. NAM6677014 responded that “containers have been out gated by the custom [sic] under their own instruction. We are trying to reach out the [sic] relevant party too.” CX 538. CMA responded to the consignee, “Noted on your message. Kindly revert once you have received a response from the Customs Department.” *Id.*

Accordingly, Priva’s entire narrative that CMA could not reach Neptune Trading is inaccurate and only further demonstrates the confusion as to the interactions between the receivers, CMA and Malaysian Customs. Further, AIM is not located in Malaysia and must rely on information provided by CMA, CMA Malaysia and the consignees.

68. On May 22, 2024, Priva again asked AIM for an update on the NAM6677014 containers. CX 45.

**RESPONSE:** Admitted. By way of further response, AIM responded on May 23, 2024, informing Priva that it was working to obtain information. CX 45. AIM also notes Priva’s ongoing lack of response to AIM’s May 14, 2024 inquiry seeking information and assistance.

69. On May 23, 2024, Priva requested that AIM “please advise clearance update for this booking.” CX 45.

**RESPONSE:** Admitted. By way of further response, AIM responded on May 23, 2024, informing Priva that it was working to obtain information. CX 45. AIM also notes Priva’s ongoing lack of response to AIM’s May 14, 2024 inquiry seeking information and assistance.

70. On May 23, 2024, AIM responded without any additional information: “We are pushing to get confirmation on this shipment hoping to have more information by tomorrow.” CX 45.

**RESPONSE:** Denied as stated. AIM was working in good faith with Priva to obtain information and asked for assistance including asking about communications with Malaysia customs to find a solution. AIM does not have visibility on the containers when they arrive in Port Klang and was working with its customer in Malaysia and continues to do so. Further, AIM is not located in Malaysia and must rely on information provided by CMA, CMA Malaysia and the consignees. AIM again notes Priva’s ongoing lack of response to AIM’s May 14, 2024 inquiry. By way of further response, AIM incorporates its response to RPFF No. 67.

71. On June 12, 2024, Priva again asked for an update on the NAM6677014 shipment. CX 44.

**RESPONSE:** Admitted.

72. Later that day, AIM responded that its “sales rep is working with our customer at destination But he has advised that the delay is due to customs not the customer.” CX 44.

**RESPONSE:** Admitted, again showing that AIM continued to work with Priva to provide information and resolve the issue, contrary to Priva’s narrative. By way of further response, AIM incorporates its response to RPFF No. 67.

73. On July 18, 2024, Priva again asked AIM for an update. CX 44.

**RESPONSE:** Admitted.

74. AIM employee Daniel Chen (AIM Recycling Hong Kong) provided the following update concerning both the NAM6677014 and NAM6677015 shipments on July 19, 2024: “Due to the long wait and slow releasing process, Rising Streams is trying to divert this BL to

Singapore, buyer's agent is working on this and we don't have to do anything. Buyer will bear all the cost involved. For another shipment belongs to GSM, they are still trying to wait for the release, they said the containers could be picked up soon, but no exact date yet. This buyer guarantees that he will bear all cost as well." CX 43.

**RESPONSE:** Admitted as to the content of the email and that it was sent by Daniel Chen.

Denied that Daniel Chen is an employee of AIM. As Priva indicates, Mr. Chen is an employee of AIM Recycling Hong Kong.

75. On July 31, 2024, Priva forwarded a message from CMA CGM "service delivery", which requested information about the status of the NAM6677014 containers still idling at Port Klang West. CX 42-43.

**RESPONSE:** Admitted.

76. On August 1, 2024, AIM employee Daniel Chen reported that there was a customs hold on the containers and that Malaysian Customs was processing container inspections slowly. Mr. Chen further stated that "Buyers said they may need another 2 weeks to have the inspection done." CX 42.

**RESPONSE:** Admitted as to the content of the email and that it was sent by Daniel Chen.

Denied that Daniel Chen is an employee of AIM. As Priva indicates, Mr. Chen is an employee of AIM Recycling Hong Kong.

77. On August 6 and 12, 2024, Priva asked AIM for an update as the Malaysia Shipments remained uncleared at Port Klang West. CX 100-102.

**RESPONSE:** Admitted.

78. On August 12, 2024, AIM replied to these emails and asked for confirmation that the freight charges had been paid to CMA CGM, but did not provide an update on the status of the containers' retrieval from the port. CX 100.

**RESPONSE:** Denied. The communication reflects that AIM is conveying a request from the customer regarding what the customer needed to assist in resolving the issue with the containers. By way of further response, AIM incorporates its response to RPFF No. 67.

79. On August 13, 2024, Priva confirmed that the freight had been paid to CMA CGM, that there was no freight hold on the containers, and that the containers had been released to AIM. Priva again requested an update on the containers' clearance at the destination. CX 99.

**RESPONSE:** Admitted. As indicated in the following paragraph, the customer informed AIM that the containers would be inspected and needed the requested documentation. CX 99 ("We are not saying the payment was not made but to ease the flow of the containers being released, they have requested it. We have waited so long for the containers to come up on queue, we want to avoid further delays."). By way of further response, this appears to be the first time that Priva notified AIM that the containers were not subject to a freight hold. Priva previously sent AIM two CMA abandonment letters that indicated that CMA was reserving its lien rights over the cargo. Priva also never provided any information regarding why CMA issued these letters, indicating the cargo was deemed abandoned, but then never took any action and seemingly reversed its position. These letters only demonstrate the inconsistent information CMA provided resulting in more confusion for all of the parties involved.

80. On August 14, 2024, AIM reported that the containers would be inspected tomorrow [August 15, 2024] and requested documentation of the freight payment to CMA CGM. CX 99.

**RESPONSE:** Admitted.

81. Priva provided the invoice showing freight payment to CMA CGM later that day. CX 98.

**RESPONSE:** Denied. Priva has not provided the attachment or identified the attachment in either appendix.

82. On August 20, 2024, Priva relayed an email from CMA CGM to AIM, which included details of pending charges on the NAM6677014 containers. CX 97.

**RESPONSE:** Denied. The email Priva cites does not contain the information Priva references.

83. On August 21, 2024, Priva again requested that AIM's consignee, Neptune, promptly address the charges pending on the NAM6677014 containers and pick up the cargo. CX 96.

**RESPONSE:** Admitted in part, denied in part. The cited email does not contain any information regarding charges the consignee needed to address. CMA is also clearly still in contact with both consignees. See response to RPFF No. 67.

84. On September 3 and 5, 2024, Priva asked AIM for updates on the idling containers at the urging of CMA CGM. CX 94-95.

**RESPONSE:** Admitted.

85. On September 6, 2024, Mr. Chen, on behalf of AIM, responded: "I have talked to the buyer again today. He said the only thing he knows is that the Port Klang Customs is releasing containers in a very slowly process, since there are hundreds of containers stuck

there for inspection due to some e-waste material problem, he cannot promise when the containers will be picked up exactly unfortunately.” CX 93.

**RESPONSE:** Admitted.

86. On September 10 and 12, 2024, Priva again asked AIM for a status update because Priva was “getting multiple emails from idle cargo and CMA CGM USA.” CX 92-93.

**RESPONSE:** Admitted.

87. On September 13, 2024, AIM responded through its employee, Mr. Chen: “We heard that some of our containers have been inspected by Klang Customs and now waiting for greenlight to pick up, including NAM6677015.... Rest of containers include this NAM6677014 are still queuing in line for inspection.” CX 92.

**RESPONSE:** Admitted.

88. On September 23, 2024, Priva forwarded a message received from CMA CGM Idle service delivery, which read: “Please confirm is it u [sic.] until today containers still under customs hold? Kindly advise latest update for below container. Idle is more than 100 days.” CX 90-91.

**RESPONSE:** Denied. The email does not reflect if this correspondence is forwarded from CMA, CMA Malaysia or another entity.

89. On October 2, 2024, Priva asked AIM for an update on the NAM6677014 containers, which were “still uncollected at terminal.” CX 88-89.

**RESPONSE:** Admitted.

90. On October 30, 2024, after receiving no response from AIM, Priva emailed AIM stating: “Any update for the below case? Checking, container still not pull out from terminal. Please advise status for below container.” CX 86-88.

**RESPONSE:** Admitted in part, denied in part. AIM admits that Priva sent the email referenced but denies any narrative that it was unresponsive. As has been demonstrated by the emails and the proposed findings of fact, the parties had continued and ongoing communications with all parties involved regarding the containers. By way of further response, AIM incorporates its response to RPFF No. 67.

91. AIM responded to Priva on October 31, 2024, with the following: “There are still no updates yet. Rumour had it that the inspection by Malaysia Customs will be done before middle Dec. The containers are held by Malaysia government, neither the shipper, nor consignee are allowed to move the material, even if re-exporting is not allowed. It seems that the shipping line also can do nothing about this situation. All the containers on this CMA vessel has to go under strictly inspection with exact reason unknown.” CX 85-86.

**RESPONSE:** Admitted, again reflecting AIM’s willingness to communicate with Priva and share the information that was available to it. By way of further response, AIM incorporates its response to RPFF No. 67.

92. On December 4, 2024, Priva followed up with AIM on the status of the Malaysia Shipments. Priva’s email stated: “Please advise on the below. Any update? containers still uncollected at terminal. please advise your reason and estimate to MT return.” CX 85.

**RESPONSE:** Admitted.

93. Emails from CMA CGM to AIM’s consignee Neptune and Priva beginning on July 31, 2024, and running through December 17, 2024, show that Neptune was unresponsive to CMA CGM’s requests for updates. RX 94-106.

**RESPONSE:** Denied. The proposed finding of fact contains the referenced email but whether the consignee and CMA were in ongoing discussions and the extent of those responses is unknown. By way of further response, the attached email demonstrates that both CMA and Priva had direct access to the consignee. AIM incorporates its response to RPFF No. 67.

94. These same emails show that Priva provided responses to CMA CGM's requests for information and updates related to the NAM6677014 containers that were idle in Port Klang West. RX 94-106.

**RESPONSE:** Admitted.

95. On January 13, 2025, Priva again asked for AIM to "advise latest status for below containers. Please advise your reason and estimate to MT return." CX 85.

**RESPONSE:** Admitted.

96. CMA CGM issued Invoice Number NAEC0163666 (the "Misdeclaration Invoice"), dated February 25, 2025, to Priva. The Misdeclaration Invoice contained a total amount due of \$70,000 for the ten (10) containers shipped under booking/bill of lading number NAM6677014. The charge description on the Misdeclaration Invoice reads: "Misdeclaration or Non Compliance with BL Clauses." CX 54.

**RESPONSE:** Admitted. By way of further response, the invoice states that, "To the best of our knowledge, you serve as the ultimate recipient of the cargo, which is the reason you're receiving this invoice. If you are not the ultimate recipient, you must advise [USA], disputes@cma-cgm.com within 48 hours of receipt of this invoice" and provide contact details for the ultimate receiver." CX 54. This is clearly inaccurate as neither Priva nor AIM are the consignee, and the fact that CMA had the contact information for the actual consignee. Despite this clear error, Priva waited nearly a month to notify CMA that it was not the proper consignee, which is

reflected in RPFF Nos. 97. Further, Priva waited nearly a month before notifying AIM, which learned about the invoice for the first time on March 21, 2025. See RPFF No. 97 and response thereto. By way of further response, AIM incorporates its response to RPFF No. 67.

97. On March 21, 2025, at 14:17 hours, Priva emailed CMA CGM after having received the Misdeclaration Invoice. Priva disputed the Misdeclaration Invoice and requested waiver of the charges, to wit:

Hello IDLE and Claims,

**URGENT ATTENTION REQUIRED**

We have received the attached invoice NAEC0163666, totalling USD 70,000 which we dispute as being unjustified. Priva will not assume responsibility for these charges, as they should be billed to the Malaysian customs or the consignee.

We have consistently advised that the containers' idle status at the port is due to a customs hold. The containers have been held by Klang Customs since April due to changes in Malaysian customs policy. Their inspection and clearing process is extremely slow, with 500-700 containers still awaiting inspection.

According to our client, the Malaysian government is holding the containers, neither the shipper nor the consignee is permitted to move the cargo, and re-exporting is not allowed.

The client has also stated that the shipping line cannot intervene in this situation. All containers on this CMA vessel are subject to strict inspection, with the exact reason unknown.

I have kept you updated on this matter through my previous correspondence. kindly request that you review our email exchange regarding this matter.

We kindly request that you waive these charges from our account, given the prolonged Malaysian customs inspection.

@Geoffrey, please assist in escalating this matter to the relevant department to expedite resolution.

RX 93-94.

**RESPONSE:** Admitted. AIM also incorporates its responses to RPFF Nos. 67 and 96.

98. On March 21, 2025, at 14:29 hours, Priva emailed AIM the following message with the Misdeclaration Invoice attached:

Hi Daniel & Team,

URGENT ATTENTION REQUIRED

We have received attached misdeclaration invoice from CMA of USD 70,000.

Despite our repeated follow-ups, the containers have remained idle at the port, with your response indicating that they are under inspection.

Although it is the consignee's responsibility to clear the cargo at destination and take necessary actions, IDLE team has been unable to establish contact with the consignee.

We have also informed you that idle charges may be transferred to the POL if consignee contact is not established.

We kindly request that you settle the payment by next week at the latest and arrange for prompt cargo clearance to prevent further accrual of charges.

CX 84-85.

**RESPONSE:** Admitted in part, denied in part. AIM admits that Priva sent the communication, but denies that CMA could not reach the consignee. By way of further response, AIM incorporates its response to RPFF No. 67, which reflects that CMA was able to contact the consignee and it is unclear if CMA is simply choosing not to pursue the charge against it.

Further, this is the first time AIM was made aware of the misdeclaration invoice as demonstrated by the lack of any evidence of prior notice.

99. Later that day, Priva emailed AIM again, emphasizing the urgency of the situation and the possible injuries to Priva if the issues go unresolved:

As this is an urgent matter, please provide a written confirmation that a local CMA representative in Malaysia is required to assist in resolving the situation as well as a detailed explanation for the current situation and the reasons behind the cargo being idle at the destination for the past year. We need your attention to resolve this matter, as CMA is threatening to block our account until the outstanding payment of \$70,000 is settled.

CX 84.

**RESPONSE:** Admitted in part, denied in part. While AIM admits that Priva sent the foregoing communication, it denies the narrative context as Priva presents it. As reflected in prior paragraphs, AIM already informed Priva on May 14, 2024 that it needed CMA's assistance to communicate with Malaysia Customs to find a solution. CX 46. As its proposed findings of fact make clear, Priva ignored this request until nearly one year later.

100. On March 24, 2025, Priva forwarded an email received from CMA CGM explaining that "the containers were held by customs due to misdeclared cargo, and despite their efforts, they were unable to contact the consignee." Priva also requested that AIM provide "supporting documentation, including cargo descriptions, loading photos, and cargo value to prove your claim that the commodity was correctly declared as aluminum scrap" and "a written confirmation on your company's letterhead stating that a local CMA representative in Malaysia is required to assist in resolving the matter, given the lack of

assistance at the destination as well as a detailed explanation for the current situation and the reasons behind the cargo being idle at the destination for the past year.” CX 83-84.

**RESPONSE:** Admitted in part, denied in part. AIM admits that Priva sent an email with the quoted language, but the cited material does not contain the referenced attached email and does not contain a citation to the email in the record. Further, the record does not reflect that CMA could not reach the consignee as is clear by AIM’s response to RPFF No. 67.

101. Meanwhile, Priva continued to escalate its dispute of the Misdeclaration Invoice with CMA CGM, as shown in email exchanges dated March 21, 2025, through March 25, 2025. RX 83-94.

**RESPONSE:** Admitted.

102. On March 25, 2025, CMA CGM explained that the bill of lading originally issued by CMA CGM contained a cargo description of “Aluminum Alloy.” The bill of lading presented by AIM’s consignee Neptune, however, contained an additional cargo description of “Aluminum Scrap.” CMA CGM further explained that the containers had been held by Malaysian Customs based on the discrepancy between the two bills of lading. CMA CGM asked for an explanation of why the consignee’s bill of lading was not the same as the bill of lading originally issued. RX 83-86.

**RESPONSE:** Admitted.

103. AIM chose not provide the requested information or materials requested to Priva or CMA CGM. Accordingly, on March 25, 2025, Priva informed AIM that CMA reported that the consignee’s bill of lading contained a cargo description of “Aluminum Scrap”, which differed from Priva’s records. Priva asked AIM to investigate with its consignee “to determine what documents they submitted at destination that led to this discrepancy in

the cargo description.” Priva also notified AIM that it would copy AIM on any future correspondence with CMA CGM. A copy of the email from CMA CGM, which contained pictures of the original sea waybill and the sea waybill presented by the consignee, explaining the discrepancy was also provided to AIM at this time. CX 80-82.

**RESPONSE:** Admitted in part, denied in part. AIM admits to the content of the email but denies that it “chose not to provide the requested information.” As the record reflects, AIM continued to work with Priva and CMA to address the issue and disputed the misdeclaration charge. CX 59-66; CX 128-136; see also AIM’s response to RPF No. 67. AIM was confused by CMA’s correspondence as this was the first time it received any substantive information and asking for a clarification as to whether the CMA Malaysia issued the consignee’s bill of lading, or if CMA was alleging that the consignee altered the copy. CMA never provided this information. CX 122. Further, CMA’s correspondence only states that “BL submitted to Customs reads the description as ALUMINIUM SCRAP.” CX 122. CMA’s correspondence does not identify the origin of the bill of lading or who provided the bill of lading to customs.

104. On March 28, 2025, AIM emailed CMA CGM to dispute the Misdeclaration Invoice with Priva in copy. CX 126-127.

**RESPONSE:** Admitted.

105. On March 31, 2025, CMA CGM responded to AIM, explaining further that the discrepancy between the original bill of lading and the bill of lading presented by AIM’s consignee Neptune “caused this cargo to be held held [sic.] by Malaysian Royal Customs” and, as such, the Misdeclaration Invoice remained valid. CX 124-126.

**RESPONSE:** Admitted. For full context, CMA CGM’s explanation does not address the fact that the altered bill of lading contains both an aluminum alloy description and an aluminum scrap

description. The inference from the communications is that the charge arises from the fact that there are two bill of ladings, one of which contains an extra description, not because the description itself was wrong. This is highlighted by the fact that the other Malaysia Shipment, which also has an aluminum alloy description was not considered misdeclared and not subject to a misdeclaration charge.

106. CMA CGM's March 31, 2025, email also provided a screenshot of an internal CMA CGM email discussing the issue. The internal email shows that CMA CGM's head office ("HO") reviewed the dispute and determined that the shipper should be charged \$7,000 per container for the cargo misdeclaration pursuant to bill of lading clause 366 and CMA CGM's finding that the discrepancy in the bill of lading presented by AIM's consignee Neptune resulting in the containers being held by Malaysian Royal Customs since *March 31, 2024*. CX 124-125 (emphasis added).

**RESPONSE:** Admitted. AIM incorporates its response to RPFF No. 105 above.

107. On April 2, 2025, at 10:00 hours, Priva emailed AIM requesting a clear understanding of what exactly transpired and the intentions of AIM's consignee Neptune regarding the containers. Priva's email indicates that it was seeking this information so that it could help guide the discussions with CMA CGM to quickly resolve the dispute. AIM responded shortly thereafter. RX 108-109.

**RESPONSE:** Denied as stated. Priva's RPFF mischaracterizes the email, which was not asking "what exactly transpired" or intentions. The email is clearly asking for clearance status of the containers and whether they are being abandoned. For context, there had been numerous communications between the parties including CMA and everyone understood that the containers were in a customs hold. AIM had responded numerous times conveying information

from the consignee and informing Priva of the customs hold as had CMA, which is reflecting throughout the prior proposed findings of fact. AIM again quickly responded that the containers were not being abandoned. RX 108. By way of further response, AIM incorporates its response to RPFF No. 67.

108. Later that morning, at 10:41 hours, Priva responded to AIM, recognizing that AIM had already begun dispute discussions directly with CMA CGM. Priva stated that it would let AIM take the lead on these discussions with CMA CGM, but remained willing and able to support AIM's efforts in any way possible, including offering to "brainstorm" with AIM on "how to best handle the situation." Priva also requested that AIM provide any information available concerning Neptune's discussions or correspondence with Malaysian Customs and/or CMA CGM's Malaysian office. RX 107.

**RESPONSE:** Denied as stated. To the extent that Priva is asserting a narrative of lack of cooperation, which is refuted by the responses to prior RPFF and by AIM's proposed findings of fact.

109. At 11:37 hours on April 2, 2025, AIM responded to Priva's email, by making a wild and unsubstantiated claim that Priva was not forthright with AIM and that it should "stop questioning HS codes", is if the issue would just go away, stating:

Priyanka,

You didn't tell us the truth since the beginning: CMA Malaysia billed originally the 70K to consignee, and it is only because they can not find the consignee contact information on BL then they billed back to forwarder: if you checked consignee BL CMA provided, they ereazed [sic.] the consignee phone and email info.

This is a simple issue with a very straightforward solution: tell CMA to show you the proof that they could not reach out consignee, or we are able to provide valid consignee contact for them to send the invoice.

Please, stop questioning HS codes, that is the judgement of Malaysia custom should make.

And CMA should never issue BL with 2 conflicting HS Code on one BL.

Again, go back to CMA.

Also, stop harassing our consignees by sending more emails directly to them.

RX 110-111.

**RESPONSE:** Denied as stated. This email simply reflects a communication breakdown during a stressful situation between two individuals, Priyanka Dutta and Likun Di, and is being used to create a false narrative. AIM had been informed that the charge was being assessed, and that CMA could not reach the consignee, which would lead to the charges being transferred to “if consignee contact is not established.” CX 84-85. A review of the two bills of lading shows that the altered bill of lading had removed the consignee contact information leading to the belief that any claims that the consignee could not be contacted were misleading and the information AIM was provided was inaccurate. *Compare* CX 35 with CX 256. The record taken as a whole shows that that Priva and AIM had many discussions trying to figure out the circumstances related to the Malaysia Shipments. The resulting communication breakdown is further demonstrated later on April 8, 2025, wherein Priva refuses to arrange a meeting between Priva, AIM and CMA, claiming AIM acted impulsively when filing a dispute with CMA, and calling Ms. Di a liar. CX 141-142. Previously, Mark Hudson reached out to Priva asking to have a call to discuss the matter, but Priva said it did not have much to discuss and would only assist AIM if it signed a transfer of liability agreement and made payment to Priva. CX 146.

Priva is simply seeking to create a narrative that AIM did not provide responsive information regarding the status of the containers and the consignee's "intentions", but AIM clearly and repeatedly told Priva the information it was receiving from the customer, which was that the containers were being held by customs, the consignee was working on their release, and were not abandoned. AIM is not located in Malaysia and can only convey the information the consignee is providing. By way of further response, AIM incorporates its response to RPFF No. 67.

110. At 11:55 hours on April 2, 2025, Priva responded to AIM's email. Therein Priva reiterates that it needed all of the relevant information from AIM's consignee Neptune in order to help dispute the Misdeclaration Invoice. Priva states: "Without proper reasoning and facts, I cannot address this matter with CMA, which will mean that the charges will stay valid for AIM to pay Priva. If you want me to help AIM in this case, then I will need proper facts from the consignee so we both have something concrete to present to CMA and demand resolution." Priva further emphasized that it was AIM's responsibility to consult with its consignee to obtain the facts needed to dispute the charge. RX 110.

**RESPONSE:** Denied as stated for the reasons set forth in response to RPFF No. 109.

111. On the afternoon of April 2, 2025, CMA responded to AIM's additional inquiries, with the following explanation:

The 'Misdeclaration or Non-Compliance with BL Clauses' charge applies to cargo that does not meet shipping requirements, resulting in an incident requiring CMA resolution. The cargo is currently held by Royal Customs in Malaysia due to incorrect cargo declaration. The Bill of Lading from CMA CGM described the cargo as '*aluminium alloy*', while the Bill of Lading from the Consignee described it as '*aluminium scrap*'. For any additional questions regarding the Bill

of Lading at the destination, please contact the CMA CGM Malaysia offices. They will be able to provide further assistance with this documentation.

To ensure the immediate release of your cargo at its destination, please confirm payment as soon as it has been made.

Please note that the charge has been reviewed and confirmed as valid by our Head Office, which has the final authority on this matter. Therefore, we cannot remove, modify, offer waivers, or apply discounts to any valid charges.

CX 131 (emphasis original).

**RESPONSE:** Admitted. By way of further response, AIM sent a follow up communication to CMA asking for contact information for CMA CGM Malaysia, which CMA never provided. CX 130.

112. Mr. Hudson testified that he “couldn’t tell you specifically” whether or not AIM ever asked Neptune if it had requested that CMA CGM alter or amend bill of lading number 6677014. CX 482 (Hudson Depo. p. 162:17 – p. 163:1).

**RESPONSE:** Admitted as to the testimony, which was in response to whether AIM ever asked Neptune, “that specific question.” CX 441, Hudson Dep. 162:17 – p. 163:1 By way of further response, Mr. Hudson also testified that Neptune did not provide AIM with any information regarding how the discrepancy between the two bills of lading came into being. CX 441, Hudson Dep. 161:13-16. Based on the formatting of the destination bill of lading, it appeared to Mr. Hudson that the change would have been made in the system that generated the bill of lading. CX 441, Hudson Dep. 161:21-162:8. In fact, AIM informed CMA on June 4, 2025, that “The consignee has confirmed to us that they did not change the SWB and highlighted the fact that there was absolutely no reason for them to do so, nor has he heard from CMA CGM Locally. It

does appear that the 2nd document was issued by your own system and in our opinion may have found its way to the customs house via CMA CGM locally.” CX 536-537. This is consistent with a review of the destination bill of lading. CX 256. AIM also informed CMA that it disputed the Misdeclaration Invoice, but it was “rejected and we were referred to Malaysia. We have not been able to make contact with your group in Malaysia.” CX 536. At this same time, Priva was instructing CMA not to cooperate with AIM. CPFF Nos. 51-55.

CMA’s response, based on Priva’s instructions, was to refuse to cooperate with AIM stating, “As American Iron and Metal Co Inc. is not listed as a party on the bill of lading, we are unable to discuss or take instruction regarding this shipment. For further assistance or to authorize CMA to release shipment details, please contact Priva Logistics Inc. directly.” CX 535. CMA again did nothing to assist with the communication difficulties with CMA Malaysia and did not address the issues with the Misdeclaration Invoice or refute AIM’s suggestion that the changed bill of lading came from CMA’s system.

Further, both Priva and CMA had access to both consignees and never sent any inquiry. The contact information for both entities is listed on the bills of lading. See CX 31, 35.

113. When CMA CGM informed Priva and AIM that the cargo hold and Misdeclaration Invoice was based on Neptune’s presentation of an incorrect bill of lading, Priva generated Invoice Number 20040 (the “Priva Invoice”). The Priva Invoice included \$70,000 for the charges within the Misdeclaration Invoice and a \$30,000 charge labeled as “Misdeclaration Penalty.” CX 55.

**RESPONSE:** AIM admits that Priva generated an invoice that created a new charge but denies any inference that the charge is valid for the reasons set forth in response to RPFF No. 114, Claimant’s brief and CPFF Nos. 59-60.

114. Priyanka Dutta testified that the \$30,000 charge represented “internal administrative charges” that were based on the “significant hours, manpower, resources...for administration, for operations, for accounting, managerial hours, executive hours, to deal with this fallout...due to AIM’s misdeclaration, and their failure to clear the cargo.” Ms. Dutta further explained that the charges were related to Priva’s administrative expenses for the approximately one year’s worth of work, involving hundreds of hours, it performed in direct relation to and as a result of AIM’s failures. CX 370-371 (P. Dutta Depo. p. 91:22 – p. 95:23).

**RESPONSE:** Admitted as to Ms. Dutta’s testimony but denied as to the validity of the charges, which are entirely speculative and unsupported. Priva has not (and cannot) provide a breakdown of time spent, actual costs incurred, manhours spent, any financial records that were reviewed, and is basing its claim on pure speculation while also seeking to recover for time spent participating in this litigation. Priva’s owner determined its “administrative charges” by looking at the emails exchanges between the parties and estimating the amount she believed Priva should be paid (as opposed to basing the charges on employee rates and hours):

Q. . . . The question is, is there a breakdown of the hours spent and the rate for each employee that was charged to come up with this \$30,000?

**A. No. These are collective hours that we all have to spend in order to deal with the fallout from AIM's misdeclaration, and their failure to clear the cargo.**

Q. And this was something you based off of, you looked at like the number of emails that went out, and then just did a rough estimate?

**A. I just said that. It's internal hours, looking up for the status every single day, which we're still doing on the containers. You know, having the accounting books open, finding the data, digging through the data,**

**responding to AIM, responding to CMA. It's just, you know, taking calls with AIM logistics team, you know, multiple times. I mean all those -- that's all time, something we didn't have to deal with.**

Q. Right. And you didn't track that amount –

**A. We did not, because we didn't know --**

(CX 347, Dutta Dep. 99:4-25.) Indeed, Priva's administrative charges now include time spent participating in this proceeding:

Q. Okay, that's -- so basically what you're saying is that extra [\$]52,000 was calculated from when you issued that invoice until September 11th. And you're saying that amount is still increasing as of September 11th?

**A. Yeah. And I think I informed you about that in one of my emails, that, you know, this is taking significant time, your client is not paying up. And I'm going to give you \$35 per container. I think I informed you. You and I had a chat before I traveled.**

Q. There's an email communication that I'll bring up in a second. But I guess that the question is, so like you sitting here today and preparing for your deposition, that's like time and effort that would be calculated into this cost, correct?

...

**A. 110 percent. The costs have been accounted for.**

...

Q. And that's in relation to the time and effort spent on this lawsuit, correct?

**A. 110 percent.**

CX 347, Dutta Dep., 155:12-156:5; 169:11-13. Further, none of these charges were disclosed to AIM prior to the booking any of the shipments at issue and were not based on any fee agreement, fee schedule or tariff. Instead, Priva asserted these charges for the first time during the time

period of March-June of 2025 based on what Priva unilaterally and arbitrarily determined to be reasonable. CX 528, Hudson Declaration, ¶ 27-28; CX 347, Dutta Dep. 164:23-167:16.

115. Neither the Misdeclaration Invoice nor the Priva Invoice have been paid by AIM. RX 2 (Dutta Declaration, ¶ 10).

**RESPONSE:** Admitted. By way of further response, Priva also has not paid the Misdeclaration Invoice (CX 347, Dutta Dep. 80:8-10), and the Priva Invoice is invalid for the reasons set forth in response to RPFF No. 114, Claimant’s brief and CPFF Nos. 59-60. Furthermore, AIM offered to pay the Misdeclaration Invoice under protest, which Priva rejected. CX 199 (“AIM—through its Canadian counsel—advised on June 12, 2025, that it had transferred the full disputed amount (\$70,000) into counsel’s trust account, ready for release to Priva. The payment was offered under protest, solely to ensure that the Italy-bound containers would not be delayed. Rather than accept the payment and release the containers, Priva refused, escalated its demands, and declined to confirm it would release the SWB even upon receipt of full payment.”).

116. AIM never offered to pay the amounts due under the Misdeclaration Invoice prior to the parties retaining counsel in this matter. CX 484 (Hudson Dep. p. 169:17 – p. 170:3).

**RESPONSE:** Denied as stated. It is unclear what relevance this has, and should be noted that the entire basis for this action was Priva’s refusal to release the Italy and India Shipments until AIM filed suit and even then only on advice of its counsel. CPFF No. 61 (CX 347, Dutta Dep. 146:19-147:19.). To the extent that Priva is claiming that AIM did not try to resolve this matter, AIM asked CMA whether AIM’s payment of the invoice under protest would result in the containers being released or if there were further requirements to resolve the matter. CX 132. On June 4, 2025, AIM emailed CMA regarding the Italy Shipment and the Misdeclaration Invoice and advised CMA that “We tried to challenge this with your disputes team in the US but our case

was rejected and we were referred to Malaysia. We have not been able to make contact with your group in Malaysia.” CX 536. At the same time, Priva was instructing CMA not to cooperate with AIM. CPFF Nos. 51-55. CMA’s response, based on Priva’s instructions, was to refuse to cooperate with AIM stating, “As American Iron and Metal Co Inc. is not listed as a party on the bill of lading, we are unable to discuss or take instruction regarding this shipment. For further assistance or to authorize CMA to release shipment details, please contact Priva Logistics Inc. directly.” CX 535; see also CX 534 (“While I do appreciate the below frustrations, as AIM Is not a party to the BL I cannot provide any information, BLs, invoices regarding the shipments.”). CMA again did nothing to assist with the communication difficulties with CMA Malaysia and did not address the issues with the Misdeclaration Invoice.

AIM also offered to pay the invoice to Priva under protest. CX 199 (“AIM—through its Canadian counsel—advised on June 12, 2025, that it had transferred the full disputed amount (\$70,000) into counsel’s trust account, ready for release to Priva. The payment was offered under protest, solely to ensure that the Italy-bound containers would not be delayed. Rather than accept the payment and release the containers, Priva refused, escalated its demands, and declined to confirm it would release the SWB even upon receipt of full payment.”). Instead, Priva elected to hold the Italy and India Shipments while adding new, never disclosed and unsupported charges to its demands.

117. The Misdeclaration Invoice remains valid, in effect, and enforceable against Priva according to CMA CGM. RX 34-41.

**RESPONSE:** Denied. This is legal conclusion, not a finding of fact.

118. On June 26, 2025, Priva notified AIM that on June 30, 2025, Priva would begin assessing a \$35/per day/per container in damages for Priva’s ongoing administrative expenses on the Malaysia Shipment containers. RX 2 (Dutta Declaration, ¶ 12).

**RESPONSE:** Admitted. By way of further response, AIM incorporates its response to RPFF No. 114. Priva raised these charges for the first time in response to an email seeking the release of unrelated containers destined for Italy and India. CX 198 – 200. AIM notes that Priva previously objected to CX 200 as an impermissible settlement communication, which AIM denies. Priva identified CX 200 (bates labeled PRIVA\_0003) in its disclosures as support for its damages. CX 344 (“At this time, Priva provides the accompanying documents, Bates Stamped PRIVA\_00001-00003, as support for the misdeclaration fees and administrative costs and expenses.”). It cannot identify and utilize CX 200 as support for its alleged damages and then claim the document is a settlement communication.

119. Like the administrative charge in the Priva Invoice, the \$35 fee is based on Priva’s ongoing expenditure of internal manhours and operating expenses for the continued communications, management, and oversight directly related to the Malaysia Shipment containers idling in Port Klang West. CX 389 (Dutta Depo. p. 165:5-24); RX 2 (Dutta Declaration, ¶ 13).

**RESPONSE:** Denied. While Priva contends this is the basis for its \$35 per day charge, it is supported only by a self-serving declaration and testimony. These charges have no basis in fact for the reasons forth in response to RPFF No. 114, Claimant’s brief and CPFF Nos. 59-60. Priva has not (and cannot) provide a breakdown of time spent, actual costs incurred, manhours spent and is basing its claim on pure speculation while also seeking to recover for time spent participating in this matter. It continues to assess the charge for “the continued communications,

management, and oversight directly related to the Malaysia Shipment” but the evidence it files demonstrates that it has only exchange a handful of emails in the past year further undermining these charges.

120. As of June 2, 2026, 337 days have elapsed since June 30, 2025, resulting in a total amount of \$235,900 owed to Priva for the 20 Malaysia Shipment containers. RX 2 (Dutta Declaration, ¶ 13).

**RESPONSE:** Denied. Priva’s proposed finding of fact is supported only by a self-serving declaration and testimony of its owner. These charges have no basis in fact for the reasons forth in response to RPFF Nos. 114 and 119, Claimant’s brief and CPFF Nos. 59-60.

121. In addition to the amounts owed for the Misdeclaration Invoice, Priva faces potential demurrage, detention, and other charges on the NAM6677014 and NAM6677015 containers, which have not yet been assessed by CMA CGM. RX 34-41.

**RESPONSE:** Denied. This is a legal conclusion, not a statement of fact. By way of further response, this alleged finding of fact would improperly require conjecture and speculation as to how future events could unfold and whether such charges may or may not be assessed and who they may or may not be assessed against.

122. Based on estimates provided by CMA CGM to Priva, the total demurrage potentially owed on the Malaysia Shipments total over \$1.1 million as of November 19, 2025. RX 38.

**RESPONSE:** Denied. This is a legal conclusion, not a statement of fact. By way of further response, CMA stated it “had not received any info on assessed amount nor is an invoice in the system. *Please note this is an estimate and should not be considered as an invoice or an accurate assessment of actual charge[s] to be invoiced*”. RX 38 (emphasis in the original).

123. CMA CGM has confirmed that the cargo within the Malaysia Shipments was found to be “Aluminum Flakes / Scraps” and that the cargo was “found to be non-compliant with the Basel Convention.” RX 40.

**RESPONSE:** Denied. This is a legal conclusion, not a statement of fact. Further, it is not clear who is making that determination or how that individual has the authority or expertise to make that determination. The email contains several layers of hearsay with CMA telling Priva what a surveyor told CMA a Royal Malaysian Customs Officer told “us and Principal.” The communication also notes that no misdeclaration fees were assessed for Booking No. NAM6677015 even though it contained the same material as Booking No. NAM6677014 and shipped under an “Aluminum Alloy” designation. Accordingly, this evidence is improper, irrelevant, immaterial, unreliable, has no probative value, and is inadmissible.

124. On April 30, 2026, CMA CGM emailed Priva an alarming message concerning its ability to do business with a valued ocean carrier business associate:

Hello Priyanka,

I would like to inform you there has been a change in CMA CGM policy regarding shipments to Malaysia that will have an impact on Priva Logistics.

In an abundance of caution, to avoid any issues with customs or long dwelling containers, we are no longer allowing exports from the US to Malaysia for shippers who have had a misdeclaration of goods, regardless of declared commodity. We understand this is not a restriction levied by the Malaysian government, and that this is a measure we are taking to protect CMA CGM from liability.

We will need to expire out any Q2 rates to Malaysia from your contracts effective immediately.

We understand there are some shipments that are currently in the process of being backed out. Please forward any cases you are receiving to us for review. Thank you for your understanding. RX 1-4 (Dutta Declaration, ¶ 15 & Ex. A).

**RESPONSE:** Denied. Priva produced this document for the first time on June 2, 2026, with its brief and it is unclear the extent of Priva and CMA's communications and whether this is related to the events of this matter. AIM has no way of knowing if there were any other misdeclarations unrelated to the alleged misdeclaration in this matter.

125. A sizeable portion of Priva's business, by volume and revenue, is based on shipments from the U.S. to Malaysia. Based on Priva's projections, it expected to ship approximately 1,200 TEUs to Malaysia in 2026. RX 2 (Dutta Declaration, ¶ 16).

**RESPONSE:** Denied. This proposed finding of fact is based on one sentence in a self-serving declaration and fails to provide any support for Priva's "projections." Based on Priva's history of assessing charges and asserting damages that lack factual and evidentiary support—such as its administrative charges and \$35 per day charges—the declaration in support should not be given any weight.

126. CMA CGM's decision to no longer accept Malaysia bookings from Priva will significantly impact Priva's projected volumes and ability to serve its clients for the remainder of 2026 and thereafter. RX 2 (Dutta Declaration, ¶¶ 16-17, 21).

**RESPONSE:** Denied. This proposed finding of fact is based on a self-serving declaration and fails to provide any support for Priva's "projected volumes." Based on Priva's history of assessing charges and asserting damages that lack factual and evidentiary support—such as its administrative charges and \$35 per day charges—the declaration in support should not be given any weight.

127. Now that CMA CGM has cancelled pending shipments and will no longer take any new export shipment bookings to Malaysia from Priva, Priva stands to lose significant revenues. RX 2 (Dutta Declaration, ¶¶ 18, 21).

**RESPONSE:** Denied. This proposed finding of fact is based on a self-serving declaration and fails to provide any support for Priva’s alleged loss of “significant revenues.” Based on Priva’s history of assessing charges and asserting damages that lack factual and evidentiary support—such as its administrative charges and \$35 per day charges—the declaration in support should not be given any weight.

128. Priva has sustained significant business and reputational harms as a result of AIM’s misconduct, as evidenced by CMA CGM’s decision to no longer accept Malaysian export bookings from Priva. RX 2 (Dutta Declaration, ¶¶ 19, 21).

**RESPONSE:** Denied. This proposed finding of fact is based on two sentences in a self-serving declaration and fails to provide any support for Priva’s “significant business and reputational harms” it alleges. Based on Priva’s history of assessing charges and asserting damages that lack factual and evidentiary support—such as its administrative charges and \$35 per day charges—the declaration in support should not be given any weight.

129. AIM has no idea how much time Priva spent working to resolve and address the issues surrounding the Misdeclaration Invoice. CX 484 (Hudson Depo. p. 169:8-12).

**RESPONSE:** Admitted that neither AIM nor Priva have any idea how much time Priva spent on this matter. This is because Priva did not disclose this information and is speculating as to the time spent using an estimate Priva’s owner calculated in her head based on what she unilaterally deemed reasonable. For the sake of brevity, AIM incorporates its responses to RPFF Nos. 113-114 as if fully set forth herein.

### III. ARGUMENT

To prove a claim under § 41102(a), Priva must prove three elements: (1) knowing and willful conduct; (2) through which, either “directly or indirectly,” by means of the actions enumerated in the statute or through “any other unjust or unfair device or means;<sup>11</sup>” and (3) respondent obtained or attempted to obtain ocean transportation at lesser rates. *Muhammad Rana, Complainant, v. Michelle Franklin, D.b.a. "the Right Move," Inc., Respondents.*, 2022 WL 1744905, \*7 (FMC May 25, 2022). In support of its § 41102(a) claim, Priva argues that AIM “knowingly and willfully provid[ed] a false cargo classification for the Malaysia Shipments” causing “the assessment of the Misdeclaration Invoice” and allegedly related damages. *Priva Br.* at 28. Priva’s claim fails at every level.

On intent, Priva cannot establish any motive or benefit for the alleged misdeclaration. Priva identifies no avoided charge, reduced rate, or other transportation-related advantage that AIM purportedly gained by describing the cargo as “aluminum alloy” rather than “aluminum scrap.” Nor does the record contain evidence that any freight rate, tariff, surcharge, or fee that would have differed based on the terminology used. As a result, Priva’s theory is unsupported by both the evidence and common sense, as it never explains how the alternative description would have benefited AIM.

Instead, the evidence reflects that AIM neither hid information nor misled Priva: the booking confirmations that set the transportation rate described the commodity as aluminum scrap, Priva knew the cargo’s nature, and AIM engaged with Priva, CMA, and the consignees to address the Malaysia issues. Indeed, Priva’s position turns on whether the commodity code for aluminum alloy

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<sup>11</sup> “An essential element of the offense is use of an ‘unjust or unfair device or means.’ In the absence of evidence of bad faith or deceit, the Federal Maritime Commission will not infer an ‘unjust or unfair device or means’ from the failure of a shipper to pay ocean freight.” 46 § C.F.R. 545.2.

or aluminum scrap should be used. Either way, the material at issue consisted of 97-98% shredded aluminum alloy.

On the “device or means” prong, Priva identifies no affirmative fraud or concealment by AIM; at most, it alleges an HS code/description disagreement regarding cargo that was predominantly shredded aluminum alloy, alongside ordinary communications turbulence that Priva itself exacerbated by instructing CMA not to cooperate with AIM. Second, even assuming the wrong HS Code or description was used, there was no concealment. Priva conceded that it knew the cargo consisted of aluminum scrap eliminating any claim that AIM somehow hid information from it. In fact, setting aside a handful of emails where two individuals lost their composure in a stressful situation, AIM worked with Priva and continues to work with CMA and the consignees to resolve the issue. Priva, however, sought to obstruct AIM’s communications with CMA.

On the rate element, Priva’s claim is circular. It alleges that AIM sought to avoid a charge that would not exist absent the very conduct Priva accuses AIM of committing. Priva cannot establish this element as AIM clearly did not obtain ocean transportation at lesser rates. The rate was based on the booking confirmation, which listed the material as aluminum scrap. The only charge Priva claims AIM did not pay is the misdeclaration charge, which only exists due to the alleged misdeclaration. It defies logic to suggest that AIM sought to avoid a charge that only exists due to the alleged act that Priva targets. Priva fails to identify any other rate or charge that would otherwise apply.

Lastly, Priva’s claimed damages—particularly its “administrative charges” and amorphous reputational harms and lost profits—are unsupported and speculative, lacking any coherent methodology or evidence and, by Priva’s own admission, impermissibly include litigation time.

**A. AIM Did Not Exhibit Knowing and Willful Conduct or Engage in an Alleged Misdeclaration.**

Knowing and willful conduct exists if a party has “knowledge of the facts of the violation and intentionally violates or acts with reckless disregard or plain indifference to the Shipping Act, or purposeful or obstinate behavior akin to gross negligence.” *Rose Int'l, Inc. v. Overseas Moving Network, Int'l*, FMC Docket No. 96-05, at 138 (FMC June 1, 2001). Priva’s entire argument is that AIM improperly designated cargo that is 97-98% shredded aluminum alloy as aluminum alloy instead of aluminum scrap to obtain transportation at less than rates. While Priva attempts to paint this as some Machiavellian scheme, it does not hold up to an objective analysis of the facts.

**i. The evidence does not reflect any attempt by AIM to hide information and Priva was aware of the nature of the cargo.**

Starting from the beginning, the evidence does not reflect an attempt to hide information from Priva, which was well aware of the nature of the cargo. CPFF No. 17. Priva never answers a basic question: why would AIM intentionally misdeclare the cargo? Priva identifies no economic benefit from describing cargo that was 97–98% shredded aluminum alloy as “aluminum alloy” rather than “aluminum scrap.” Nor does it identify any freight rate, surcharge, tariff, fee, or other transportation charge that shipper avoided through the terminology used.

The theory is also contrary to common sense. If anything, cargo described as aluminum alloy would be expected to carry greater value than aluminum scrap, making it unclear why AIM would choose that designation for financial gain. Most critically, Priva never explains how describing the cargo as “aluminum scrap” would have benefited AIM. Aside from the Misdeclaration Invoice generated by CMA after the fact, there is no evidence that any additional charge, rate, or fee would have applied had the cargo been described differently. The record contains no evidence that AIM

sought to avoid a transportation-related charge, much less that it intentionally misdeclared the cargo to do so.

Indeed, Priva offers no evidence that any transportation rate or charge would have differed based on the description it contends applies. Priva concedes, as it must, that the rates for transportation of Malaysia Shipments were based on the booking confirmations. CPFF No. 15. Those confirmations described the commodity as “Waste and scrap, of aluminium”. CPFF No. 16. Priva conceding that the information was disclosed to both itself and CMA at the time of the booking. CPFF No. 17. So, the description of “Waste and scrap, of aluminum” determined the transportation rate, not the description in the bill of lading.

Next, the evidence does not reflect that AIM acted knowingly, willfully or in disregard to the law. Priva incorrectly claims that AIM did not follow its processes by mischaracterizing the evidence. Mr. Hudson testified that AIM conducts a review of the requested HS code and description to ensure it is fair and reasonable. CX 441, Hudson Dep. 60:5-13. Here, Priva emailed AIM the draft bill of lading and asked AIM to review and confirm if the bill of lading was satisfactory. CX 18. The draft bill of lading listed the description as “Aluminum Alloys” but contained a commodity code for copper (7410.22.0000), which was incorrect. CX 19. Because the cargo only consisted of 3% copper (at most), AIM emailed the consignee regarding the HS Code stating that the code should be either “7602 or 7601” as “7410 is for Copper, not Aluminum.” CX 13. The consignee responded, “you may put 7601.2 Aluminum Alloy.” CX 13. AIM then informed Priva to revise the description accordingly. CX 16. This exchange clearly shows that AIM reviewed the codes and descriptions and asked the consignee to use aluminum alloy or aluminum scrap, because copper was incorrect as the cargo contained 97%-98% shredded aluminum alloy. CPFF Nos. 6-9.

Priva's position that the material is not aluminum alloy because it contains 2-3% separate copper or brass suggests that the remaining 97-98% is somehow not an aluminum alloy simply because it was shredded. Priva also wants to focus on calling the material Zorba, but Zorba does not have a commodity code and is simply a trade name for shredded aluminum alloy. CPFF 9. More importantly, whether the cargo was designated as Zorba, aluminum alloy or aluminum scrap, Priva has not identified any other transportation rates or charges that would have applied.

Further, CMA stated that the issue and charge was not due to the HS Code, but to the discrepancy in the commodity description between the two bills of lading. CX 123. Priva's position that the emails reveal or lead to an inference that the consignee changed the bill of lading to add aluminum scrap to aluminum alloy is illogical as *the consignee confirmed the description in the original bill of lading*. CX 13. Priva's briefing simply highlights the lack of clarity as to the origin of the bill of lading with the two descriptions and engages in speculation. Regardless, it has not identified why one description compared to another would have resulted in a different rate or charge and its owner confirmed that there are no other rates or charges at issue. CX 347, Dutta Dep. 51:19-52:13

**ii. Priva makes a number of inaccurate claims related to the origin of the changed bill of lading.**

Priva then engages in another logical leap, inaccurately claiming that the lack of clarity regarding the origin of the altered bill of lading means AIM either did not care to ask or because it is hiding information regarding the change to the bill of lading change. This is a bridge too far for two reasons. First, the deposition of Mr. Hudson demonstrates that Priva was careful in its questioning, asking Mr. Hudson if AIM asked Neptune a "specific question." CX 441, Hudson Dep. 162:17 – p. 163:1. It ignores the fact that Mr. Hudson testified that Neptune did not provide AIM with any information regarding how the discrepancy between the two bills of lading came

into being. CX 441, Hudson Dep. 161:13-16. Based on the formatting of the destination bill of lading, it appeared to Mr. Hudson that the change would have been made in the system that generated the bill of lading. CX 441, Hudson Dep. 161:21-162:8.

Second, Priva glosses over that AIM informed CMA on June 4, 2025, that “The consignee has confirmed to us that they did not change the SWB and highlighted the fact that there was absolutely no reason for them to do so, nor has he heard from CMA CGM [Malaysia]. It does appear that the 2nd document was issued by your own system and in our opinion may have found its way to the customs house via CMA CGM locally.” CX 537. AIM also informed CMA that it disputed the Misdeclaration Invoice, but it was “rejected and we were referred to Malaysia. We have not been able to make contact with your group in Malaysia.” CX 536. At the same time, Priva was instructing CMA not to cooperate with AIM. CPFF Nos. 51-55.

CMA’s response, based on Priva’s instructions, was to refuse to cooperate with AIM stating, “As American Iron and Metal Co Inc. is not listed as a party on the bill of lading, we are unable to discuss or take instruction regarding this shipment. For further assistance or to authorize CMA to release shipment details, please contact Priva Logistics Inc. directly.” CX 535; see also CX 534 (“While I do appreciate the below frustrations, as AIM Is not a party to the BL I cannot provide any information, BLs, invoices regarding the shipments.”). CMA again did nothing to assist with the communication difficulties with CMA Malaysia and did not address the issues with the Misdeclaration Invoice or refute AIM’s suggestion that CMA issued the changed bill of lading. Tellingly, Priva ignored these communications both in its briefing and at AIM’s deposition.

Further, Priva’s accusations apply to both Priva and CMA as they had access to both consignees and never sent any inquiry even though the contact information for both entities is listed on the bills of lading which have been in their possession for *years*. See CX 31, 35. Indeed,

the consignee has shown that they are still responding to CMA. CX 538; CX 325-332. Priva has also had several months to conduct discovery on this issue. By Priva's logic it could be that neither Priva nor CMA cared enough to ask the consignee about the bill of lading or are hiding information.

While there is still ambiguity regarding the bill of lading, one thing is clear; CMA largely ignored AIM's requests for information or refused to cooperate with AIM based on Priva's instruction. CPFF Nos. 51-55; CX 533-537. Despite Priva's conspiracy theories and CMA's inconsistent statements, the reasonable inference is that there was simply a communication breakdown between CMA, CMA Malaysia, Malaysian Customs, two Malaysian consignees, Priva and AIM.

**iii. Priva's contention that AIM did not provide information is belied by the evidence it cites and demonstrates that Priva took an antagonistic approach.**

As for Priva's contention that AIM did not provide meaningful information to Priva or was non-responsive, it is belied by Priva's approximately 130 proposed findings of fact that contains significant number of communications exchanged between the parties. For instance, Priva claims that it emailed AIM on April 26, 2024, but AIM did not respond until May 2, 2024. Priva Br., p. 32. This is inaccurate as AIM responded on April 30, 2024, saying it was contacting the customer overseas and hoped to have more information soon. CX 49. AIM is not located in Malaysia and can only convey the information it was being provided.

It then emailed Priva again on May 1, 2024, that "according to the customer it is due to customs inspection - can you please double check[.] I need to know when CMA advised of the issue and what CMA is saying the reason for the delay[.]" CX 49. Setting aside Priva's inaccuracy, AIM was working with an overseas customer and attempting to obtain information. These

delays—if they even fall into that category—are not unreasonable in the circumstances. AIM further notes that Priva never responded to AIM’s May 1st inquiry.

For the most part, the parties were working together to collect information and understand the circumstances that were taking place in Malaysia. Unfortunately, the parties clearly had a communication breakdown at one point involving Priva’s owner, Priyanka Dutta, and AIM employee, Likun Di. Mr. Hudson tried to intervene to resolve the issue calling and emailing Priva, but Priva decided that it would not discuss the matter with AIM any further. CX 146-1148. Priva then elected to begin holding shipments to pressure AIM to make payment, which obviously made matters worse as AIM explained to CMA. CX 537 (“Following on from this, we had some other bookings with yourselves and other carriers via PRIVA and they have been very slow in steamship releases, demanding that we pay the \$70,000 before they act. . . . Our relationship with PRIVA has clearly broken down and they are refusing to work with us to try and resolve the issue . . .”). At the same time, Priva informed CMA not to work with AIM “because we need to collect payment from them.”). CX 172. CMA clearly understood this to mean that it would not provide any responsive information to AIM regarding either the Italy Shipment or the Malaysia Shipments. CX 533 (“While I do appreciate the below frustrations, as AIM Is [sic] not a party to the BL I cannot provide any information, BLs, invoices regarding the shipments.”).

These communications demonstrate or at least to the reasonable inference that difficulties with resolution of the Misdeclaration Invoice dispute were related to Priva’s instruction to CMA not to work with AIM. They certainly do not lead to the conclusion that AIM hid information.

**iv. The LOI is irrelevant, beyond the jurisdiction of the Commission and should not be considered.**

In support of its knowing and willful conduct argument, Priva references an LOI appearing to bootstrap a distinct breach of contract claim to its claim for violation of the Shipping Act. The LOI

is irrelevant and should not be considered. For one, the LOI is purportedly between Priva and a separate company, AIM USA. CPFF Nos. 1, 3, and 10. Priva does not clearly explain why AIM USA is connected to the shipments, all of which identify American Iron & Metal Company Inc. as entity engaging Priva and listed on the relevant shipping documents. Priva did not name AIM USA as a party to its counterclaim, did not assert a claim for any breach of the LOI, and did not allege any claim to hold AIM liable for terms AIM USA agreed to, nor could it.

“[W]hile the Commission has exclusive jurisdiction over claims arising under the Shipping Act, the Commission does not have jurisdiction over common law claims.” *Southern International Co. Ltd., v. Daynamez Group of Companies, LLC*, FMC Dkt. No. 25-24, 9 (ALJ May 15, 2026) (quoting *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, Dkt. No. 99-24, 2000 WL 1648961, at \*15 (FMC Oct. 31, 2000)). “Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier’s broader practices beyond those directly affecting the complainant.” *Id.* (citing *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Dkt. No. 21-05, 2024 WL 95383, at \*7 (FMC Jan. 3, 2024)). Here, the Commission does not have jurisdiction to assess who is or is not a party to the LOI or whether its terms were breached.

In fact, even the LOI provides it is subject to the law and exclusive jurisdiction solely to courts residing in the State of New York. RX 13. Priva clearly recognizes the Commission lacks jurisdiction over this agreement but glosses over the issue in a footnote. Instead, it claims that LOI is a critical document in the industry without citing any law or evidence in support. Accordingly, the Commission does not have jurisdiction over the LOI or assessing liability under that document.

**B. Priva Cannot Show Any Unjust or Unfair Device or Means or Any Affirmative Fraud or Concealment by AIM.**

To prove the second element of a 41102(a) claim, Priva must show that AIM used one of the practices specifically identified in the statute, or some other unfair or unjust method, either directly or indirectly. *Rana*, 2022 WL 1744905 at 8. Fraud or concealment is necessary for this element and determining whether an act constitutes an unfair or unjust device. Fraud or concealment must be the *means by which* the respondent obtained or tried to obtain lower rates. *Id.*

**i. Priva fails to establish that AIM engaged in false classification with an intent to deceive.**

Priva frames its argument as though it need only show an incorrect designation to satisfy the second element a violation of § 41102(a). It states that because AIM “misrepresented the nature of the cargo...this element is satisfied on its face by AIM’s direct action in violation of the ‘false classification’ prohibition in section 41102(a).” *Priva Br.* at 35. AIM does not intend to belabor the issue, but as it previously discussed, the cargo contained 97-98% shredded aluminum alloy and is not falsely misdeclared.

However, even if Priva is correct that the cargo should have been described as aluminum scrap, that does not establish a false declaration in and of itself. In the context of a § 41102 claim, false does not simply mean incorrect. Based on the language and purpose of the statute, there must be an intent to deceive in order to obtain less than otherwise applicable rates. The definition in this context is that false means “*intentionally* untrue,” “made so as to deceive,” or “*intended* or tending to mislead.” <https://www.merriam-webster.com/dictionary/false> (last visited June 15, 2026). This is consistent with the interpretive regulation, which provides there must be evidence of bad faith or deceit and that an unjust or unfair means is an “essential element.” 46 C.F.R. § 545.2.

Here, it makes little sense for AIM to deceive Priva through a misdeclaration to avoid a misdeclaration charge. Importantly, there was no deception or intent to deceive because—even if Priva’s position that the cargo should have been described as aluminum scrap—Priva has not identified any other charge that AIM sought to avoid. Accordingly, Priva had full awareness of the nature of the cargo and no intent to deceive existed.

**ii. Priva fails to establish the unjust and unfair device or means element of its claim.**

Claiming that AIM allegedly used unjust and unfair devices and means, Priva largely repeats its same briefing from its knowing and willful conduct section<sup>12</sup>. As discussed previously, Priva has not identified any act of fraud or concealment that were used to obtain ocean transportation at lesser rates or charges. This is because AIM did not make any misrepresentations to Priva and had extensive communications with Priva regarding the situation in Malaysia. Communications broke down between the parties, but AIM is still working with both CMA and the consignees of the Malaysia Shipments to resolve the issue contrary to Priva’s claims that it simply ignored the issue. CX 325-331, 538-544. Priva complains that AIM has both abandoned the containers and continues to work to obtain their release. The former is obviously inaccurate, and it is hard to understand Priva’s strained argument that facilitating communications between the consignee and CMA is somehow obtaining transportation at less than otherwise applicable rates.

While Priva argues that another “unjust or unfair device or means” exists, it only claims that a misdeclaration occurred and that the misdeclaration constitutes an “unjust or unfair device or means” in a circular argument. *Priva Brief* at 36. Its contention that AIM’s actions after the Malaysia Shipments arrived constitute an unfair device or means make little—if any—sense. Arguing that AIM never disclosed the altered bill of lading to Priva, Priva ignores the fact that

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<sup>12</sup> For sake of brevity, AIM incorporates section III(A) of its opposition.

AIM learned about the alter bill of lading *after Priva*. Priva cites to *zero* evidence to suggest that AIM was aware of the altered bill of lading before Priva notified it, and its position that AIM should have known is nothing more than *ipse dixit* and should be disregarded.

Likewise, Priva's contention that fraud or concealment exists due to "finger pointing, and unwillingness to accept responsibility for the charges"<sup>13</sup> fails upon slight scrutiny. AIM sought to dispute the charge with CMA and was referred to CMA Malaysia. Its attempts to continue disputing the charge with CMA have largely been obstructed by Priva who instructed CMA not to work with AIM. AIM maintains that there is a lack of information from CMA regarding the charge and a good faith dispute regarding the Misdeclaration Invoice. This does not constitute an affirmative act of fraud or concealment as required under the second element of § 41102(a). Further, Priva's position that AIM somehow acted improperly by suggesting the consignee should be held responsible if it was at fault is meritless considering that AIM's position is consistent with the express language in CMA's invoice and the lack of clarity related to the issue.

Just as importantly, Priva's counterclaim only asserted that the § 41102(a) claim was based on the alleged misdeclaration in the bill of lading, not because AIM allegedly failed to inform Priva of the altered bill of lading in Malaysia. *See, e.g., Priva Counterclaim* generally. The counterclaim also contends that demurrage and detention charges have accrued, which it now disavows. *Id.* ¶ XXXVI. Perhaps recognizing the weakness of its arguments, it attempts to alter the factual basis for its claim, which is unavailing regardless.

Priva's reliance on *Rana*, 2022 WL 1744905, is misplaced. In *Rana*, the respondent claimed it had paid the ocean carrier and then engaged in a number of deceptive acts including covering up respondent's insolvency and concealing the fact that it had failed to pay the ocean freight charges

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<sup>13</sup> *Priva Br.* at 37.

even though the carrier performed the transportation. *Id.* at \*2. Here, and as previously discussed, the parties engaged in numerous communications, and nothing suggests that AIM hid information from Priva or made misrepresentations. AIM even made offers to pay the Misdeclaration Invoice, which Priva refused, seeking to add on additional charges it created.

**C. Priva's Misdeclaration Charge Cannot of Itself Give Rise to an Attempt to Obtain Transportation at a Lower Rate.**

As previously discussed, it is not enough to establish knowing and willful conduct in conjunction with the use of an unfair or unjust device or means. In addition, Priva must establish that AIM obtained or attempted to obtain—through that conduct—ocean transportation at reduced rates “*that would otherwise apply.*” 46 U.S.C. § 41102(a). It cannot meet this requirement. The only charge it identifies is the misdeclaration charge resulting in a logical contradiction: AIM allegedly avoided a charge that, according to Priva's own allegations, would never have been imposed absent the alleged misconduct.

Indeed, Priva is quite clear that no other charges apply, and it is not seeking the recovery of any other transportation charges or rates:

Q. . . .With the Malaysia shipments, this is a dispute over a misdeclaration charge, this isn't the rate dispute that you had just referenced, correct?

**A. This is totally misdeclaration and abandonment, yes.**

Q. So this isn't a question of whether or not AIM paid the wrong rate, high or low, for the transportation of the Malaysia containers, it's a question of who is responsible for that misdeclaration charge that you're asserting in this lawsuit, you being Priva, correct?

**A. So yeah, this is -- they cleared the freight to us, it's not the freight. It is their, you know, unresolved liabilities from misdeclaration and abandonment. Yes.**

CX 347, Dutta Dep. 51:19-52:13. Accordingly, the only charge at issue is the misdeclaration charge, which is not a charge “*that would otherwise apply*” as set forth in § 41102(a). Priva’s position is directly contrary to the plain text of the statute and lacks any legal support.

Further, Priva makes unsubstantiated claims the \$70,000 charge threatens its financial viability. These improper claims are designed to invoke sympathy and improperly influence the Presiding Officer to depart from the plain language of the statute.<sup>14</sup> Based on that statutory language, Priva’s claim fails at the threshold because the allegedly avoided charge is entirely derivative of the alleged misdeclaration. A charge that exists only because of the purported misconduct cannot constitute a charge that otherwise would have applied for purposes of a § 41102(a) claim.

#### **D. Priva’s Damages are Speculative, with No Calculable Basis.**

Priva’s damages are entirely speculative, and unsupported by any facts or law. The very law Priva cites demonstrates why its “administrative charges” are not recoverable as “speculative damages are not allowed.” *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 32 (ALJ Sept. 29, 2021) (Initial Decision on Remand) (Affirmed June 10, 2022) (quoting *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc.*, FMC Dkt. No. 81-57, 26 S.R.R. 788, 798-799 (ALJ Nov. 23, 1992) (Admin. final 1992)).

Priva fails to provide *any* accounting as to how it reached the amounts it seeks and fails to identify any law providing that an NVOCC can assess administrative charges it created after the shipping arrangements were made or that it may somehow recovery administrative litigation time.

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<sup>14</sup> Priva’s position as an innocent victim is also contrary to its subsequent conduct where it continued to escalate its demands, assessing new, unsupported charges it never disclosed, holding unrelated shipments to compel payment of those charges and obstructing AIM’s communications with CMA. In another equitable appeal, it claims that it faces significant demurrage and detention charges, even though CMA has not assessed any such charges requiring speculation as to if, when and against whom it might.

It does not have an estimate of hours spent, costs incurred, the amounts it paid its employees, how overhead was calculated or factored in, or anything that would suggest that the charges are based on anything more than pure guesswork. Although Priva attempts to sympathetically portray itself as being in imminent financial ruin, one would assume it would sufficiently provide an accounting of its damages if it truly believed that.

Despite Priva anticipating AIM's argument that Priva's damages are speculative, Priva fails to provide any evidence of the calculations behind the \$35 a day per container "administrative charge." It simply states the \$35 administrative container charge is based on "Priva's ongoing expenditure of internal manhours and operating expenses for the continued communications, management, and oversight directly related to the Malaysia Shipment containers". *Priva Br.* at 40-41. The record reflects only a handful of communications involving Priva after June of 2025 immediately calling into question the basis for this charge. How many people are working at Priva on this matter and what are they doing to justify Priva's administrative charges? What is their salary and how is overhead for this work calculated? No one knows, including Priva.

Nowhere in its briefing or the evidence is any form of accounting or methodology as to how it reached its amount or detailing the efforts it spent administratively managing and overseeing the Malaysia Shipments to allow anyone to conduct an objective analysis.<sup>15</sup> In fact, the testimony makes clear that Priva's administrative charges are based on speculative guesswork:

Q. . . . The question is, is there a breakdown of the hours spent and the rate for each employee that was charged to come up with this \$30,000?

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<sup>15</sup> Once again, Priva seeks relief based on equitable appeals rather than the governing facts and applicable law, contending that it is entitled to reparations because "over \$1 million in charges hanging over its head like the sword of Damocles". *Priva Logistics' Br.* at 38. Yet, CMA itself said it did not have a demurrage and detention invoice in its system, and its estimate should not be considered an accurate assessment of any such charges. RX 38. It could be that CMA assesses demurrage against the consignee, or it might not assess any charges. Regardless, Priva is clear it is not seeking these charges, which should not be factored into any analysis.

**A. No. These are collective hours that we all have to spend in order to deal with the fallout from AIM's misdeclaration, and their failure to clear the cargo.**

Q. And this was something you based off of, you looked at like the number of emails that went out, and then just did a rough estimate?

**A. I just said that. It's internal hours, looking up for the status every single day, which we're still doing on the containers. You know, having the accounting books open, finding the data, digging through the data, responding to AIM, responding to CMA. It's just, you know, taking calls with AIM logistics team, you know, multiple times. I mean all those -- that's all time, something we didn't have to deal with.**

Q. Right. And you didn't track that amount --

**A. We did not, because we didn't know --**

(CX 347, Dutta Dep. 99:4-25.)

Adding to the inappropriate nature of its administrative charges, Priva was clear that it was including the time its spent in this litigation in calculating its damages:

Q. Okay, that's -- so basically what you're saying is that extra [\$]52,000 was calculated from when you issued that invoice until September 11th. And you're saying that amount is still increasing as of September 11th?

**A. Yeah. And I think I informed you about that in one of my emails, that, you know, this is taking significant time, your client is not paying up. And I'm going to give you \$35 per container. I think I informed you. You and I had a chat before I traveled.**

Q. There's an email communication that I'll bring up in a second. But I guess that the question is, so like you sitting here today and preparing for your deposition, that's like time and effort that would be calculated into this cost, correct?

...

**A. 110 percent. The costs have been accounted for.**

. . .

Q. And that's in relation to the time and effort spent on this lawsuit, correct?

**A. 110 percent.**

(CX 347, Dutta Dep., 155:12-156:5; 169:11-13.)

Likewise, Priva claims that lost business, revenues and reputational harms are compensable as damages citing to *Bernard & Weldcraft Welding Equipment v. Supertrans International, Inc.*, FMC Dkt. No. 02-12, (ALJ Jan. 8, 2003) (Initial Decision), Admin. final Feb. 12, 2003. But again, it fails to even provide a specific amount it is seeking, let alone a calculation as to how it reached that amount. Indeed, in *Bernard & Weldcraft* the Presiding Officer was provided with factual information supporting a calculation of damages. Here, Priva asks AIM and the Commission to engage in speculative guesswork to reach a damages award Priva itself has not calculated.

Priva has had over a year to provide evidentiary support for its alleged damages and has failed to do so. The only evidence Priva provided was a rough estimate Priva's owner formulated without a review of any supporting financial records or use of any objective methodology, and its damages include times spent in litigation including sitting for a deposition. Accordingly, Priva has provided no evidence to establish its damages, which are purely speculative and should be denied.

It also has not paid the Misdeclaration Invoice, which is now over a year old. The invoice itself states that it was sent to Priva because Priva is listed as the consignee—which is incorrect—and CMA claimed it could not reach the actual consignee, which is also incorrect. Regardless, Priva failed to establish a § 41102(a) claim for the reasons discussed above and the Misdeclaration Invoice is not a charge that Priva incurred.

#### IV. CONCLUSION

Priva's § 41102(a) counterclaim fails because the record shows no knowing and willful conduct by AIM; no use of any unjust or unfair device or means such as fraud or concealment; and no obtaining or attempting to obtain ocean transportation at rates lower than those that would otherwise apply. Its misdeclaration-fee theory is circular and self-defeating because the only identified charge exists, if at all, solely by virtue of the alleged misdeclaration. Moreover, Priva's claimed damages—including "administrative charges," alleged knock-on liabilities, and asserted business losses—are unsupported and speculative.

For these reasons, the tribunal should deny Priva's counterclaim in its entirety and grant the relief requested in AIM's Initial Brief together with such other and further relief as is just and proper.

Respectfully submitted,

**FLASTER/GREENBERG P.C.**

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Date: June 16, 2026

**CERTIFICATE OF SERVICE**

I certify that, on June 16, 2026, a true and correct copy of American Iron & Metal Company, Inc.'s Reply Brief, Opposition to Priva Logistic, Inc.'s Initial Brief, and Claimant's Supplemental Appendix were served on the following counsel via email:

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